ETERNAL LIMITED (ZOMATO)

Initiation of coverage (revised, built from company documents)

SELL | 12-month value ₹175 | Reference price ₹325.30 | Implied change -46%

Our view in one paragraph. Eternal is a high-quality, fast-growing franchise: B2C net order value rose from ₹29,323 cr in FY23 to ₹95,959 cr in FY26, and consolidated adjusted EBITDA turned positive and reached ₹555 cr in Q1 FY27. The issue is price, not quality. At ₹325 the equity is valued at about ₹3.07 lakh crore, roughly 243x FY26 adjusted EBITDA. Our segment cash-flow model, which accepts most of management's own long-run targets, gives ₹155 per share today in the base case (₹174 in twelve months), ₹215 in the bull case and ₹58 in the bear case. To justify today's price, Blinkit's order value would need to grow about 17 percentage points a year faster than our base case for fifteen years. We therefore rate the stock SELL on valuation and say plainly that the business itself is performing well.

Key data	Value	Source / basis
Reference price	₹325.30	Market input from earlier in this engagement; refresh before use
Fully diluted shares	944.9 cr	AR25 p188, p244-245 (outstanding + options at Mar-25)
Market capitalisation	₹307,369 cr	Price × diluted shares
Cash (31-Mar-26) / (30-Jun-26)	₹17,972 cr / ₹18,288 cr	SL27 p8
Borrowings	Nil	SL27 p18 (lease liabilities of ₹4,592 cr are separate)
Enterprise value (ex-leases)	₹289,397 cr	Market cap − cash
FY26 B2C NOV / Adjusted EBITDA	₹95,959 cr / ₹1,189 cr	SL27 p9-11 (sum of quarters)
Q1 FY27 NOV / Adjusted EBITDA	₹31,120 cr / ₹555 cr	SL27 p4
EV / FY26 adjusted EBITDA	243x	Computed
EV / Q1 FY27 annualised NOV	2.3x	Computed
Base / Bull / Bear value today	₹155 / ₹215 / ₹58	Section 12
Probability-weighted (25/50/25)	₹146 today; ₹164 in 12M	Weights are our judgement

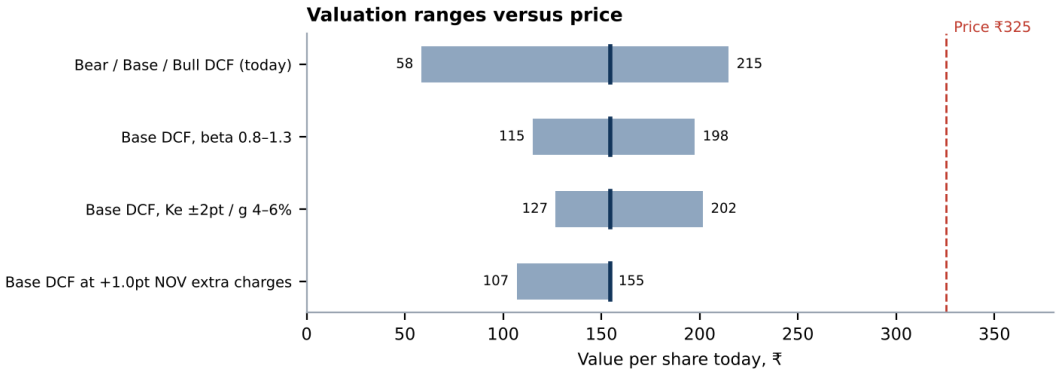


Figure 1: every range plotted here sits below the reference price. Source: our model (Section 12).

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1. Executive summary

What this report is. A revised initiation on Eternal Ltd, rebuilt from the documents you supplied: the Zomato FY24 annual report, the Eternal FY25 annual report, five earnings-call transcripts (Q1 FY26 to Q1 FY27) and the Q1 FY27 shareholders' letter, which also carries the audited FY26 statements. The FY26 annual report file was corrupted and could not be opened, so FY26 audited numbers come from the letter. Every historical figure below carries a document and page reference; every forecast is an analyst assumption and is described as one.

The investment case in six points

- **The franchise is strong.** B2C NOV grew from ₹29,323 cr (FY23) to ₹95,959 cr (FY26), a 48% compound rate. Food delivery NOV reached ₹10,769 cr in Q1 FY27 (+20%+ YoY), quick commerce NOV ₹17,132 cr (+86%), going-out ₹3,218 cr (+60%) [SL27 p4].
- **Profitability has turned, but from a small base.** Consolidated adjusted EBITDA went from −₹783 cr (FY23) to ₹1,189 cr (FY26) and ₹555 cr in Q1 FY27 alone [AR25 p25; SL27 p9]. Statutory profit after tax is still small: ₹366 cr in FY26 and ₹92 cr in Q1 FY27 [SL27 p17, p25].
- **Blinkit is now an asset-heavy, inventory-owning business.** It moved to an inventory-led (1P) model from Q2 FY26. Management says about ₹3,000 cr of capex went into the network over four years and net working capital is ₹2,545 cr [SL27 p5]. Reported revenue is therefore not comparable with earlier years; we use NOV and like-for-like measures.
- **Management's long-run targets are generous, and we mostly accept them.** Blinkit adjusted EBITDA of about 6% of NOV, ₹11 lakh NOV per store per day, ₹2.5 cr capex per store and 12 days of working capital imply a 41.7% pre-tax ROCE [SL27 p6]. Our base case reaches 6% in FY33E; the bull case reaches 6.5%.
- **Even so, value per share is well below the price.** Base ₹155 today and ₹174 in twelve months; bull ₹215 and ₹242. Terminal value is 56% of base-case enterprise value, so the result depends on the long run, which we treat generously.
- **The Street is far above us.** Brokerage targets we reviewed in July 2026 were roughly ₹350 to ₹415. Our disagreement is about how much future growth is already in the price, not about the quality of execution. See Section 12 for the reverse DCF.

What would make us wrong

If Blinkit sustains 60%-plus NOV growth for five or more years, reaches its 6% margin sooner than we assume, and the discount rate falls towards 9.0% (the cost of equity at which our base-case operations equal the price), the price can be justified. Competition easing faster than we expect, a further step-up in food-delivery margins beyond the 5-6% guided range, or large new profit pools from District, Bistro or Nugget would also move us. We list what we would watch in Section 13.

Rating framework

We rate SELL when the 12-month value is more than 10% below the reference price, HOLD between −10% and +15%, and BUY above +15%. Our 12-month base value of ₹175 is 46% below ₹325.30. Even the bull case (₹242) is below the price, so the rating does not rest on a single assumption. A SELL on this stock is a statement about valuation, not about a failing business, and a long-term holder may reasonably weigh the business quality differently.

Scenario	Value today	Value in 12M	vs price (12M)	Terminal value share	Core idea
Bear	₹58	₹66	-80%	60%	Competition persists; margin plateaus near 4%
Base	₹155	₹174	-46%	56%	Growth fades from 72%; margin to 6% by FY33E
Bull	₹215	₹242	-26%	56%	Mgmt case: ~60% 3-yr CAGR, 6.5% long-run margin

Table 1: scenario values per share. Source: our DCF (Section 12). All forecast inputs are analyst assumptions.

2. What changed from our first version, and why

Our first Eternal report was built before we had the annual reports. Reading the documents showed that some of its inputs were wrong or mislabelled. We list every correction here because you should know what moved and why. None of them is cosmetic.

Item	First version	This version	Evidence
Debt	Showed "borrowings" of ₹4,592 cr	Borrowings are nil. ₹4,592 cr is lease liabilities (₹3,833 cr non-current + ₹759 cr current at 31-Mar-26)	SL27 p18
Treatment of leases	Implicitly treated as debt	Not deducted. Adjusted EBITDA already deducts rent paid on Ind AS 116 leases, so deducting lease liabilities again would double count	SL27 p3, p6; AR25 p45
Share count	965.04 cr (issued shares)	944.9 cr fully diluted: 907.3 cr outstanding (net of 57.7 cr held by the ESOP trust) + 37.6 cr options	AR25 p188, p244-245
Q3 FY26 adjusted EBITDA	Mixed up with food delivery (₹531 cr)	Consolidated ₹364 cr; ₹531 cr is food delivery only	SL27 p9-10
FY26 financials	Estimated from quarterly data	Audited P&L, balance sheet and cash flow from the letter's audited column	SL27 p17-19
Tax	Not separately examined	Parent losses are fully used in FY27; subsidiaries still carry losses (Blinkit, B2B, going-out). We tax positive EBIT at 25% and give no credit for losses; this is conservative but worth little (Section 12)	SL27 p12; AR25 p261
Forecast horizon / method	Shorter horizon	15 explicit years, segment-level free cash flow, mid-year discounting	Section 11-12
Valuation outcome	SELL	SELL: base ₹155 today, ₹174 in 12M	Section 12

Table 2: corrections and refinements versus the first version.

The rating did not change, but the evidence under it is now much stronger. The corrections to debt and share count move the per-share value only modestly, and the direction of the conclusion is the same. We would rather say that plainly than present the new version as a dramatic reversal.

3. Basis of preparation and how to read the evidence

Sources. (1) Zomato Annual Report FY24 [AR24, PDF page numbers]; (2) Eternal Annual Report FY25 [AR25, PDF page numbers; the printed page is the PDF page minus three]; (3) Earnings-call transcripts for Q1 FY26 (21-Jul-25), Q2 FY26 (16-Oct-25), Q3 FY26, Q4 FY26 (28-Apr-26) and Q1 FY27 (22-Jul-26) [by call and page]; (4) the Q1 FY27 shareholders' letter [SL27, PDF page numbers; the printed page is one lower], including audited FY26 statements in its annexures; (5) a small number of market inputs listed below.

What is a fact and what is an assumption. Historical figures are quoted from these documents with page references. Forecasts, scenario paths, the cost of equity, the terminal growth rate and probability weights are our own analytical assumptions and are labelled as assumptions in the text and tables where they appear. We do not add inline warning tags to sourced numbers; if a number has no document reference, it is either a calculation from referenced numbers or one of the market inputs below.

Market input	Value	Where it comes from
Reference price	₹325.30	Market price used earlier in this engagement; not in the supplied documents
India 10-year G-sec yield	7.36%	Trading Economics, 16-Oct-2026
India sovereign default spread	1.87%	Damodaran country risk dataset, Jan-2026
India equity risk premium (total)	7.08%	Damodaran, Jan-2026
Beta	1.00	Analyst judgement (sector evidence in Damodaran data is lower; we test 0.8 to 1.3)
Brokerage targets	₹350 to ₹415	Public brokerage notes reviewed in July 2026; used only for context

Table 3: the only inputs that do not come from your documents.

Regulator and industry reports. You asked for regulator and industry reports to be included. We did not have such reports as files, and we will not quote figures from memory. Where this report discusses industry structure and regulation, it uses what the company itself discloses in its annual reports, call transcripts and the letter (for example, risk disclosures, contingent liabilities, GST demands, the CCI inquiry and the gig-worker petition), and it says so. If you can upload specific regulator or industry publications, we can add them with citations.

Limits. The FY26 annual report could not be read, so FY26 related-party, ESOP and notes detail are missing; the letter's audited annexures cover the primary statements and the segment note. Cash-flow and balance-sheet figures for Jun-26 are from the letter's unaudited columns. Our model is a simplification and no forecast is a promise.

4. Company overview

Eternal Limited, formerly Zomato Limited, describes itself as one of the first home-grown new-age technology companies listed in India. At the end of FY25 it operated four business segments: food delivery, quick commerce, going-out and B2B supplies [AR25 p47]. From FY26 the company also reports an "Others" segment that holds new initiatives (Bistro, Nugget, Greening India and, from Q1 FY27, community initiatives held in a not-for-profit subsidiary) [SL27 p6].

Segment	Brand	What it does	Scale in latest period
Food delivery	Zomato	Technology platform to discover restaurants, order food and have it delivered [AR25 p47]	Q1 FY27 NOV ₹10,769 cr; 27.2 million monthly transacting customers [SL27 p4, Annexure A]
Quick commerce	Blinkit	Marketplace and, since Q2 FY26, inventory-led delivery in about 10 minutes of groceries and other categories [AR25 p47; SL27 p3]	Q1 FY27 NOV ₹17,132 cr; 2,443 stores; 31.8 million monthly transacting customers
Going-out	District	Dining-out, movies, sports and live events; includes the entertainment ticketing business bought from Paytm on 27-Aug-24 [AR25 p47-48]	Q1 FY27 NOV ₹3,218 cr; 45,000+ restaurants, 5,000+ screens, 7,500+ events [SL27 p7]
B2B supplies	Hyperpure	Supplies food ingredients and other products to restaurants and other B2B buyers [AR25 p48]	Q1 FY27 revenue ₹1,034 cr (+27% like-for-like) [SL27 p4]
Others	Bistro, Nugget, others	New initiatives and community programmes [SL27 p6]	Q1 FY27 adjusted revenue ₹95 cr; adjusted EBITDA −₹94 cr

Table 4: Eternal's segments. Sources as cited.

Group structure. At 31-Mar-25 the company had 14 direct and 7 step-down subsidiaries and no associates or joint ventures [AR25 p48]. Quick commerce sits in Blink Commerce Pvt Ltd and B2B supplies in Zomato Hyperpure Pvt Ltd, both named as material unlisted subsidiaries [AR25 p56]. The parent has committed to support its subsidiaries if they cannot meet their liabilities [AR25 p265, note 37(c)].

Auditors and governance. Deloitte Haskins & Sells issued unmodified opinions on FY25 and the board recommended their reappointment for a second five-year term [AR25 p56]. The board did not recommend a dividend for FY25 [AR25 p49]. A whistle-blower channel closed 109 reportable matters in FY25 [AR25 p53].

Leadership. From the call transcripts: Deepinder Goyal (Founder and CEO per AR25 p38; answers the strategic questions in the letter), Albinder Singh Dhindsa (Group CEO as of the Q3 FY26 call), Akshant Goyal and Kunal Swarup (finance). We cite them by name only where a quote or position appears in the documents.

Corporate actions that shape the numbers

- **Blinkit** was consolidated from 10-Aug-22 (transaction closing date); FY23 Blinkit numbers in the annual report are unaudited management numbers [AR25 p26].
- **Paytm entertainment ticketing** (Orbgen Technologies and Wasteland Entertainment) was bought for 100% on 27-Aug-24 and consolidated from that date [AR25 p48]. The purchase cost cash of ₹2,005 cr per the cash-flow statement [AR25 p192-193].
- **QIP.** On 29-Nov-24 the company allotted 33.65 cr shares to qualified institutional buyers; the raise was ₹8,500 cr at ₹252.62 per share, with ₹7,629 cr unutilised at 31-Mar-25 [AR25 p49, p267].
- **Rename.** The company is described as Eternal Limited, formerly known as Zomato Limited [AR25 p47].

5. Industry structure and competition (as disclosed by the company)

This section uses only what the company says in its filings and calls. It is therefore the company's view of its markets, not an independent industry study (see Section 3).

Food delivery

Food delivery is the profit engine. Its NOV grew from ₹22,501 cr in FY23 to ₹37,993 cr in FY26 (19% compound), and its adjusted EBITDA from −₹10 cr to ₹2,017 cr [AR25 p26; SL27 p9-11]. Growth accelerated for four straight quarters to over 20% YoY in Q1 FY27, with adjusted EBITDA at 5.6% of NOV, near the top of management's 5-6% steady-state range [SL27 p4]. Management states that growth and margin "should compound together" and that it will spend margin to grow only if it has to [SL27 p4].

On new competitors, the letter says the impact of Toing and Ownly (platforms offering the same restaurants at lower commissions and delivery fees) has been "limited", that the customer traction is "purely price-driven", and that the company has responded where needed [SL27 p5]. On the Q4 FY26 call management said it has no plans to copy Swiggy's Toing and would follow only if it saw a thesis that unlocks a new market [Q4FY26 p5]. We note that these are

management's statements about competitors; the documents do not contain competitor data that would let us test them.

Quick commerce

Quick commerce is where the competitive debate sits. Management's position on the Q1 FY27 call is that the first quarter of FY27 was the peak of competitive intensity so far because more players were more aggressive, that most competition now takes the form of subsidies on products and delivery fees, and that intensity "has become more predictable" [Q1FY27 p3; SL27 p6]. It says competitors mostly subsidise grocery, that competition starts in groceries in top-tier cities, and that Blinkit price-matches where rivals spend aggressively [Q1FY27 p9, p11]. On the Q4 FY26 call management said competitors had pulled back on marketing and customer acquisition cost was extremely low [Q4FY26 p2], and that competitive activity had not meaningfully changed since the previous call [Q4FY26 p6]. The two quarters together show a market in which intensity moves around; our bear case assumes it stays elevated for longer than management expects.

Management argues that Blinkit is the only player investing simultaneously in assortment depth, geographic expansion and supply-chain infrastructure, and that pricing-led growth "requires sustained cash burn" and traps competitors [SL27 p6]. Retention data in the letter support the claim of customer stickiness: average fourth-quarter retention across cohorts is 46% (50% for the Q1 FY26 cohort), and NOV retention reaches 150% in quarter four and 279% in quarter twelve [SL27 p7].

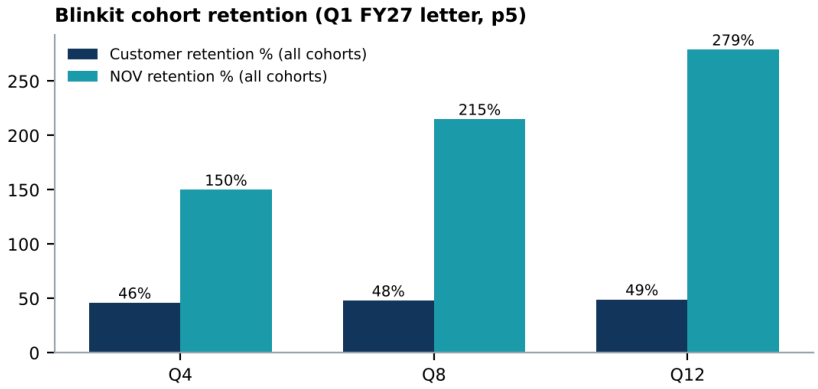


Figure 2: Blinkit cohort retention. Source: SL27 p7.

Going-out, B2B and new initiatives

District combines dining-out, movies, retail, events and activities on one app. Management calls the business "inherently lumpy" because film release calendars and event seasons drive results [SL27 p7]. It guides to a long-term NOV target of $3 billion by FY30 and says Q1 growth of 60% was not a seasonality artefact because the IPL fell in Q1 last year as well [SL27 p7]. Hyperpure supplies restaurants and non-restaurant buyers; from Q2 FY26 its reported sales fell because Blinkit now sells directly to customers from its own inventory, reducing Hyperpure's B2B sales (the segment note says so), which is why the letter reports a like-for-like growth rate [SL27 p3-4, p26].

Company-identified strategic risks

The annual report's risk section names these strategic risks: customer experience, technology and cybersecurity, people management, business strategy, competition, stakeholder management (delivery-partner strikes, supply interruptions, third-party dependencies) and macroeconomic conditions [AR25 p53-56]. Management says its diversification across Zomato, Blinkit, District and Hyperpure reduces reliance on any single line [AR25 p55]. We cover our own risk view in Section 13.

6. Regulation, litigation and accounting matters

The company's filings disclose several matters that investors should keep in view. We summarise them as disclosed, with amounts, and do not speculate about outcomes.

Matter	What the filing says	Amount	Source
GST on delivery charges (FY25 disclosure)	Demand orders from Maharashtra (₹401 cr) and West Bengal (₹19 cr) for tax, interest and penalty on delivery charges collected on behalf of delivery partners, Oct-2019 to Mar-2022. Appeals filed; the company, with external expert advice, believes it has a strong case	₹420 cr	AR25 p265
GST: position at Jun-26	The Q1 FY27 letter lists Orders for Oct-2019 to Mar-2022 across all states (₹420 cr), Andhra Pradesh orders for Apr-2022 to Mar-2024 (₹14 cr) and a Gujarat SCN for Apr-2022 to Mar-2023 (₹13 cr), and states there are no other SCNs or orders. From 22-Sep-2025 a change in law makes the company liable for GST on delivery charges collected for unregistered delivery partners, and it now pays that GST	₹447 cr in total	SL27 p27
Labour codes and gig-worker laws	Four labour codes were notified from 21-Nov-2025 (rules notified 08-May-2026); the group assesses no material impact on results so far. Karnataka's platform-based gig workers Act has operational rules (19-Nov-2025) and the group is contesting its validity; state laws elsewhere await rules. No material impact as of Jun-2026	Not material per company	SL27 p27
Gig-worker writ petition	Public-interest petition in the Supreme Court by an app-based transport workers' federation seeking recognition of gig workers as "workers" and social-security schemes; Eternal is a party with Ola, Uber and Swiggy. No specific obligation can be ascribed at this stage	Not quantified	AR25 p265
CCI investigation	Order under Section 26(1) of the Competition Act, 2002 in FY22 initiated an investigation into certain aspects of the business; the company says it is cooperating and believes its practices comply	Not quantified	AR25 p266
Consumer and other cases	Pending consumer and other legal cases	₹14 cr (Mar-25) vs ₹10 cr (Mar-24)	AR25 p265
Capital commitments	Contracts on capital account not provided for, net of advances	₹384 cr (Mar-25) vs ₹79 cr	AR25 p265
Data protection	The report refers to alignment with the Digital Personal Data Protection Act, 2023 and a Data Protection Officer	n/a	AR25 p39, p135
Statutory regimes named by secretarial auditor	Food Safety and Standards Act and rules, Legal Metrology Act and Packaged Commodities Rules among the laws tested for compliance; no qualification	n/a	AR25 p74-77

Table 5: legal and regulatory disclosures.

Our treatment. The disclosed contingent amounts (₹447 cr of GST matters plus small consumer cases) are small next to ₹17,972 cr of cash, so we do not deduct them in the valuation. The gig-worker petition is different in kind: it is unquantified and could, in principle, change labour-cost structures for delivery-led models. We reflect that possibility only qualitatively, as a risk that supports the bear case (Section 13).

Key audit matters (FY25). The auditor highlighted fair valuation of investments (₹2,026 cr), revenue recognition, Blinkit goodwill and the accounting for the entertainment ticketing acquisition [AR25 p173-175]. Goodwill stands at ₹5,737 cr at Mar-26 and has not been written down [SL27 p18].

Tax position. At 31-Mar-25 the group carried business losses of ₹5,643 cr across the years listed in the tax note [AR25 p261]. The letter says losses in the parent will be fully used in FY27 and that tax expense in Q1 FY27 therefore includes provision on business income, while subsidiaries housing quick commerce, B2B and going-out still carry accumulated losses [SL27 p12]. Up to FY26 the company provided tax only on other income, mainly treasury income [SL27 p12].

7. What the annual reports and audited statements show

We read the Zomato FY24 and Eternal FY25 annual reports in full for financial statements, the MD&A, segment notes, share-based payments, contingencies and key audit matters. FY26 audited statements come from the letter's annexures because the FY26 annual report file was unreadable. This section sets out the numbers; the next sections interpret them.

7.1 Income statement, FY23 to FY26 (consolidated, ₹ crore)

₹ crore	FY23	FY24	FY25	FY26
Revenue from operations	7,079	12,114	20,243	54,364
growth YoY	—	71%	67%	169%
Other income	682	847	1,077	1,396
Purchases of stock-in-trade	1,438	2,887	5,653	32,169
Change in inventories	(43)	(5)	(88)	(2,002)
Employee benefits	1,465	1,659	2,558	3,536
Delivery and related charges	2,537	3,915	5,728	9,065
Advertising and sales promotion	1,227	1,432	1,972	3,350
Finance costs	49	72	154	392
Depreciation and amortisation	437	526	863	1,597
Total expenses	8,775	12,670	20,623	55,145
Profit / (loss) before tax	**(1,015)**	**291**	**697**	**615**
Tax expense / (credit)	(44)	(60)	170	249
Profit / (loss) after tax	**(971)**	**351**	**527**	**366**
Diluted EPS (₹)	(1.20)	0.40	0.58	0.39
Share-based payment expense	506	515	798	819

Table 6: FY23-FY24 from AR24 p169; FY24-FY25 from AR25 p186; FY26 from SL27 p17 (audited column). FY26 revenue includes the full value of goods sold by Blinkit after the move to an inventory model; in FY23-FY25 comparable lines (for example delivery and advertising) sit inside very different cost structures. Totals may not add because of rounding and because some lines are omitted.

Reading the table. Revenue quadrupled in FY26 mainly because of the accounting effect of the 1P model, not because underlying activity rose fourfold; B2C NOV grew 55% in the same year (₹61,852 cr to ₹95,959 cr). Purchases of stock-in-trade (₹32,115 cr in FY26, from ₹5,653 cr) and the new inventory line (₹2,181 cr at Mar-26) are the clearest evidence of the change. Other income (mostly treasury income on ₹18,000 cr of cash) was ₹1,396 cr in FY26 and exceeded profit before tax of ₹615 cr; without it the group would have shown a pre-tax loss of about ₹781 cr, which is an important quality-of-earnings point.

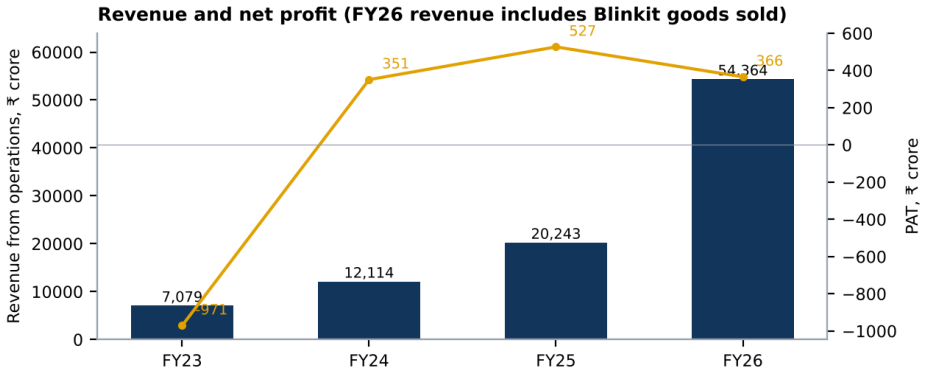


Figure 3: revenue and net profit. Source: Table 6.

7.2 Management's adjusted view

₹ crore	FY23	FY24	FY25	FY26
Adjusted revenue	8,693	13,545	21,581	55,903
Adjusted EBITDA	(783)	372	1,079	1,189
as % of B2C NOV	-2.7%	0.9%	1.7%	1.2%
B2C NOV	29,323	40,562	61,852	95,959
growth YoY	—	38%	52%	55%

Table 7: FY23-FY25 from AR25 p25-26; FY26 is the sum of four quarters in SL27 p9-11. Adjusted EBITDA = EBITDA + share-based payment expense − rent paid on Ind AS 116 leases [AR25 p48].

Adjusted EBITDA is management's measure. It adds back share-based compensation (₹819 cr in FY26) and deducts rent on leases. For FY26 the add-back is larger than the entire adjusted EBITDA of ₹1,189 cr; an investor who regards ESOP as a real cost should compare against EBITDA after ESOP. We do that in our model: our forecasts deduct ESOP and non-lease depreciation to reach EBIT (Section 11).

7.3 Segment performance

NOV (₹ cr)	FY23	FY24	FY25	FY26	FY23-26 CAGR
Food delivery	22,501	27,478	32,862	37,993	19%
Quick commerce	5,690	10,503	22,371	48,568	104%
Going-out	1,132	2,581	6,618	9,399	102%
B2C total	**29,323**	**40,562**	**61,852**	**95,959**	**48%**

Table 8: net order value. FY23 quick commerce is unaudited MIS data and consolidation of Blinkit began 10-Aug-22 [AR25 p26]. Sources: AR25 p26-27; SL27 p9-11.

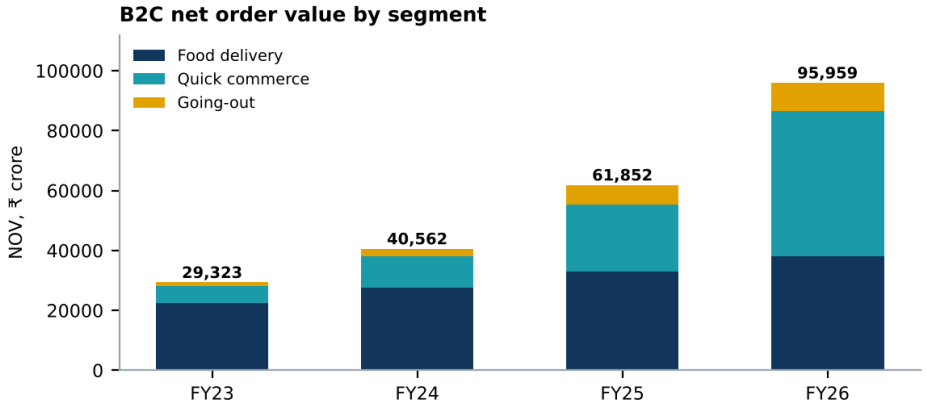


Figure 4: B2C NOV by segment. Source: Table 8.

Adjusted EBITDA (₹ cr)	FY23	FY24	FY25	FY26
Food delivery	(10)	912	1,505	2,017
Quick commerce	(562)	(384)	(292)	(277)
Going-out	(13)	(6)	(38)	(319)
Hyperpure	(194)	(126)	(84)	(17)
Others	(3)	(24)	(12)	(215)
Consolidated	**(783)**	**372**	**1,079**	**1,189**

Table 9: FY23-FY25 from AR25 p25; FY26 from SL27 p9-11 (sum of quarters). Segment figures may not add to the total because of rounding (FY23 differs by ₹1 cr).

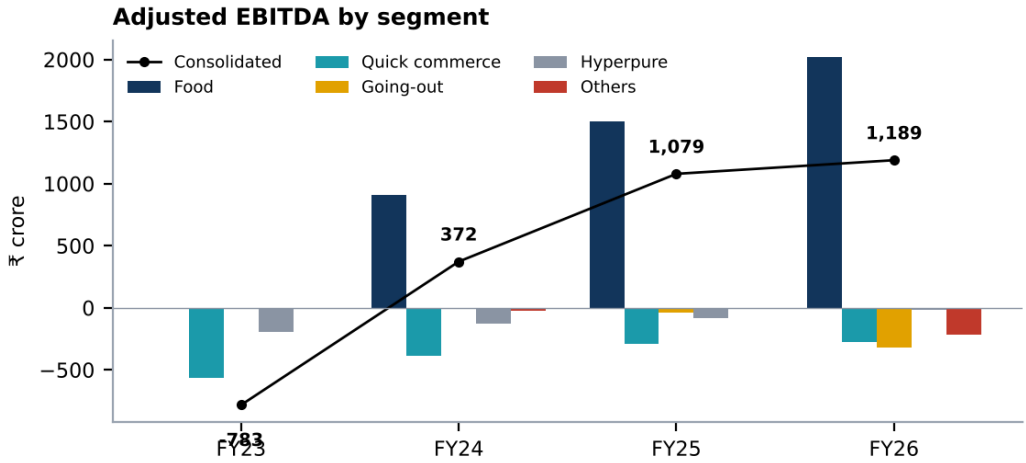


Figure 5: adjusted EBITDA by segment. Source: Table 9.

Statutory segment result (₹ cr)	FY23	FY24	FY25	FY26
Food delivery	(5)	935	1,541	2,079
Quick commerce	(503)	(253)	(21)	430
Going-out	(12)	(2)	(30)	(292)
Hyperpure	(181)	(100)	(43)	16
Others	(4)	(23)	(12)	(206)
Total segment result	**(705)**	**557**	**1,435**	**2,027**

Table 10: segment results under Ind AS 108. Sources: AR24 p244-246; AR25 p261-263; SL27 p26. FY26 total ₹2,027 cr, then plus other income ₹1,396 cr, minus share-based payments ₹819 cr, finance cost ₹392 cr and D&A ₹1,597 cr, gives profit before tax of ₹615 cr [SL27 p26].

What stands out. (1) Food delivery generated ₹2,079 cr of segment result in FY26; it funds everything else. (2) Quick commerce moved from a segment loss of ₹503 cr in FY23 to a profit of ₹430 cr in FY26 on the statutory segment measure. That measure is before the rent deduction that adjusted EBITDA makes: consolidated segment result of ₹2,027 cr equals adjusted EBITDA of ₹1,189 cr plus FY26 lease rent of ₹838 cr (sum of quarterly rent, SL27 p9-11). On the adjusted basis quick commerce lost ₹277 cr in FY26 because the first two quarters were loss-making and the business is rent-heavy. (3) Going-out swung from a ₹30 cr loss in FY25 to a ₹292 cr loss in FY26 as District scaled spending. (4) The "Others" segment lost ₹206 cr, up from ₹12 cr.

7.4 Operating metrics from the FY25 annual report

Food delivery	FY23	FY24	FY25
GOV (₹ cr)	26,305	32,224	38,646
NOV (₹ cr)	22,501	27,478	32,862
Orders (million)	647	753	853
Average order value (₹)	407	428	453
Net AOV (₹)	348	365	385
Contribution (₹ cr)	1,196	2,225	3,092
Contribution % NOV	5.3%	8.1%	9.4%
Adjusted EBITDA % NOV	-0.0%	3.3%	4.6%
Avg monthly transacting customers (million)	17.0	18.4	20.6
Avg monthly active restaurant partners (000)	210	247	297
Avg monthly active delivery partners (000)	326	400	473

Table 11: food delivery metrics. Source: AR25 p26.

Quick commerce	FY23*	FY24	FY25
GOV (₹ cr)	6,449	12,469	28,273
NOV (₹ cr)	5,690	10,503	22,371
Revenue (₹ cr)	1,063	2,301	5,206
Orders (million)	119	203	424
Average order value (₹)	541	613	667
Net AOV (₹)	478	517	528
Contribution (₹ cr)	-445	266	953
Contribution % NOV	-7.8%	2.5%	4.3%
Adjusted EBITDA (₹ cr)	-1,016	-384	-292
Adjusted EBITDA % NOV	-17.8%	-3.7%	-1.3%
Avg monthly transacting customers (million)	2.9	5.1	10.2
Avg NOV per day per store (₹ 000)	414	672	766

Table 12: quick commerce metrics. *FY23 is unaudited MIS data for the full year; only the post-closing period is consolidated. Source: AR25 p26-27.

Observations. In food delivery, NAOV rose only from ₹348 to ₹385 over two years, so growth came mostly from orders (+32%) and customers; the contribution margin nearly doubled from 5.3% to 9.4% of NOV, which is where the profit came from. In quick commerce, orders more than tripled in two years (119 to 424 million) and the NOV per store per day rose from ₹4.14 lakh to ₹7.66 lakh, which is the operating-leverage logic that management now extends towards ₹11 lakh.

7.5 Balance sheet

₹ crore	Mar-23	Mar-24	Mar-25	Mar-26	Jun-26
Property, plant & equipment	209	287	965	2,033	2,423
Right-of-use assets	427	690	1,918	4,294	4,677
Goodwill	4,717	4,717	5,737	5,737	5,737
Non-current investments	2,280	10,365	10,920	9,742	11,803
Current investments	4,485	1,280	2,272	5,091	4,415
Inventories	83	88	176	2,181	3,060
Trade receivables	457	794	1,946	1,764	1,875
Cash and equivalents	218	309	666	996	426
Other bank balances	799	422	2,948	527	105
Total assets	**21,599**	**23,356**	**35,623**	**40,736**	**43,565**
Equity	19,453	20,406	30,310	30,973	31,317
Lease liabilities (non-current)	351	588	1,654	3,833	4,212
Lease liabilities (current)	115	161	391	759	833
Borrowings	41	0	0	0	0
Trade payables	679	886	1,536	3,010	4,640
Company cash balance (incl. treasury)	**11,323**	**12,241**	**18,824**	**17,972**	**18,288**

Table 13: balance sheet extracts. Mar-23 and Mar-24 from AR24 p167-168; Mar-24 and Mar-25 from AR25 p184-185; Mar-26 and Jun-26 from SL27 p18; company cash balance from AR25 p15 and SL27 p8. Not every line is shown.

Reading the balance sheet. Inventories rose from ₹176 cr to ₹2,181 cr in the year Blinkit moved to 1P and reached ₹3,060 cr by Jun-26. Right-of-use assets grew from ₹1,918 cr to ₹4,294 cr, and lease liabilities from ₹2,045 cr to ₹4,592 cr, as store and warehouse space expanded (about 19 million sq ft across 300+ cities [SL27 p5]). The company has no borrowings, and its company-defined cash balance, which includes treasury investments, was ₹17,972 cr at Mar-26 and ₹18,288 cr at Jun-26 [SL27 p8]. Goodwill of ₹5,737 cr, mostly Blinkit, is about 18% of equity.

7.6 Cash flow

₹ crore	FY23	FY24	FY25	FY26
Cash from operations	(844)	646	308	632
Capex (PP&E and intangibles)	(103)	(215)	(936)	(1,751)
Lease principal paid	(65)	(129)	(258)	(471)
Lease interest paid	(41)	(67)	(147)	(367)
Acquisitions	0	0	(2,005)	0
Equity issued	4	23	8,501	12

Table 14: selected cash-flow lines. FY23-FY24 from AR24 p175-176; FY25 from AR25 p192-193; FY26 from SL27 p19. FY23 figures are as shown in AR24.

Cash from operations was ₹632 cr in FY26 against capex of ₹1,751 cr and lease payments of ₹838 cr, so the business consumed cash after investment, funded by the QIP proceeds and treasury. The company's cash balance fell from ₹18,824 cr at Mar-25 to ₹17,972 cr at Mar-26 even with ₹1,396 cr of other income, and rose to ₹18,288 cr in Q1 FY27 helped by a tax refund and mark-to-market gains [SL27 p8; Q1FY27 p11]. We take no view that this is permanent.

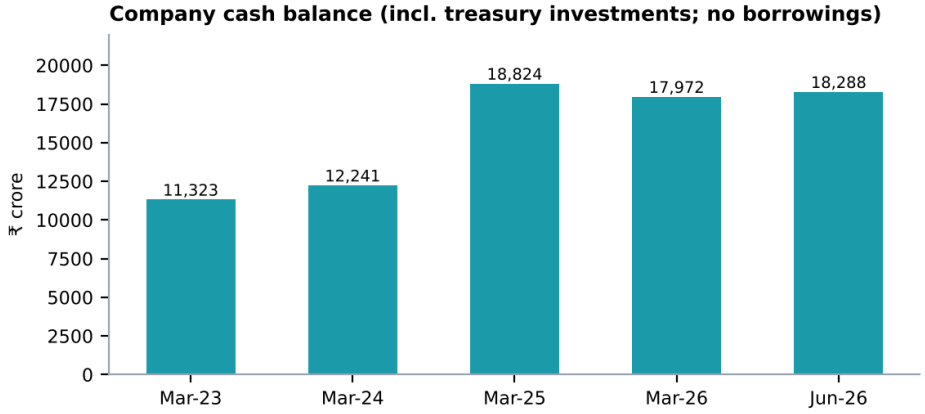


Figure 6: company cash balance. Source: AR25 p15; SL27 p8.

7.7 Share count and options

At 31-Mar-25, 965.04 cr shares were issued, of which 57.75 cr were held by the ESOP trust, leaving 907.29 cr outstanding [AR25 p188]. Options outstanding at the same date were: ESOP 2021 18.80 cr, ESOP 2022 1.97 cr, ESOP 2024 3.76 cr, plus legacy plans ESOP 2014 and ESOP 2018 which convert at 6,700 shares per option, adding about 9.62 cr and 3.44 cr shares [AR25 p243-245]. Total options are about 37.6 cr, giving a fully diluted count of 944.9 cr. Paid-up capital had moved to ₹919 cr (Mar-26) and ₹921 cr (Jun-26) [SL27 p17-18] as options were exercised. Management said ESOP pools north of 20 cr shares exist, plus 3.3 cr unvested from the CEO [Q3FY26]. Using fully diluted shares avoids overstating value per share, and it is the opposite error to the first version's use of issued shares, which counted treasury shares.

7.8 Cost structure and what drove revenue, FY23 to FY25

The annual reports break "other expenses" into six lines. The table shows how the cost base grew with the business. FY26 aggregates are shown where the letter gives them.

₹ crore	FY23	FY24	FY25	FY26
Delivery and related charges	2,537	3,915	5,728	9,065
Advertisement and sales promotion	1,227	1,432	1,972	3,350
IT support, server and communication	387	485	644	n/d
Outsourced support	297	330	570	n/d
Payment gateway charges	155	190	228	n/d
Others (warehouse, rent, legal, G&A)	826	1,179	2,341	n/d
Total other expenses	**5,429**	**7,531**	**11,483**	**19,453***
As % of revenue from operations	77%	62%	57%	36%
Employee benefits expense	1,465	1,659	2,558	3,536

Table 31: expense lines. FY23-FY24 from AR24 p40; FY25 from AR25 p44; FY26 from SL27 p17. *FY26 other expenses shown are the sum of advertising, delivery and others (₹3,350 + ₹9,065 + ₹7,038 cr) as presented in the letter; finer splits were not available. n/d = not disclosed in the documents we could read. The fall in expenses as a percentage of revenue in FY26 mostly reflects the larger revenue base after the 1P change.

- **Delivery costs** rose 54% in FY24 and 46% in FY25, driven by order volume and, in FY24, a higher share of free-delivery orders under the Gold programme [AR24 p41; AR25 p44].
- **Advertising and sales promotion** includes platform-funded subsidies, marketing, customer appeasement and refunds. It rose 17% in FY24 and 38% in FY25 as quick-commerce customer acquisition and the District app launched [AR24 p41; AR25 p44].
- **Quick-commerce take rate** rose from 16.5% to 18.5% of GOV in FY24 through higher commissions, better ad monetisation and higher customer delivery charges [AR24 p39].
- **Platform fee.** From Q2 FY24 the food-delivery business introduced a platform fee that lifted its take rate; ad income also grew faster than GOV [AR24 p39].
- **Hyperpure** improved gross margin in FY24 by raising minimum order values, which removed small, unprofitable customers [AR24 p40].
- **People.** Headcount rose 34% to 8,244 in FY24 from 6,173 in FY23; the Blinkit network grew from 377 stores (Mar-23) to 526 (Mar-24) [AR24 p40].
- **Treasury income** rose in FY24 because the investable balance grew and a higher share of cash moved to debentures and bonds from bank deposits [AR24 p39].

7.9 Quarterly trend review, Q1 FY26 to Q1 FY27

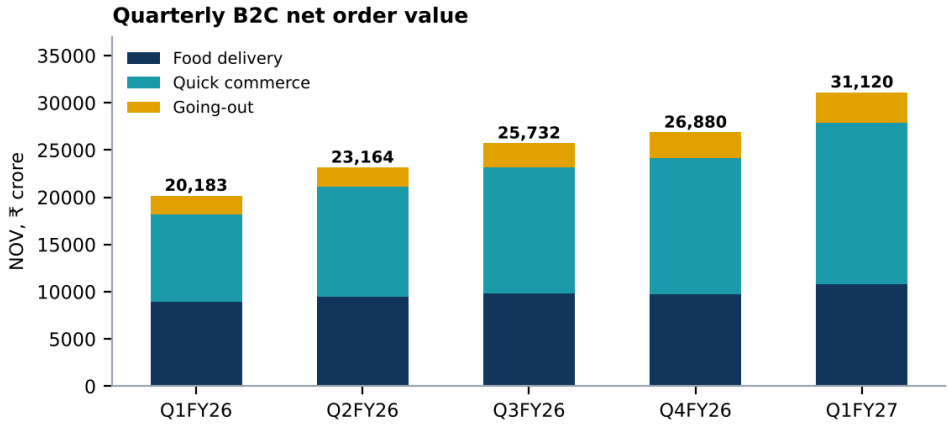


Figure 21: quarterly NOV by segment. Source: SL27 p9-11.

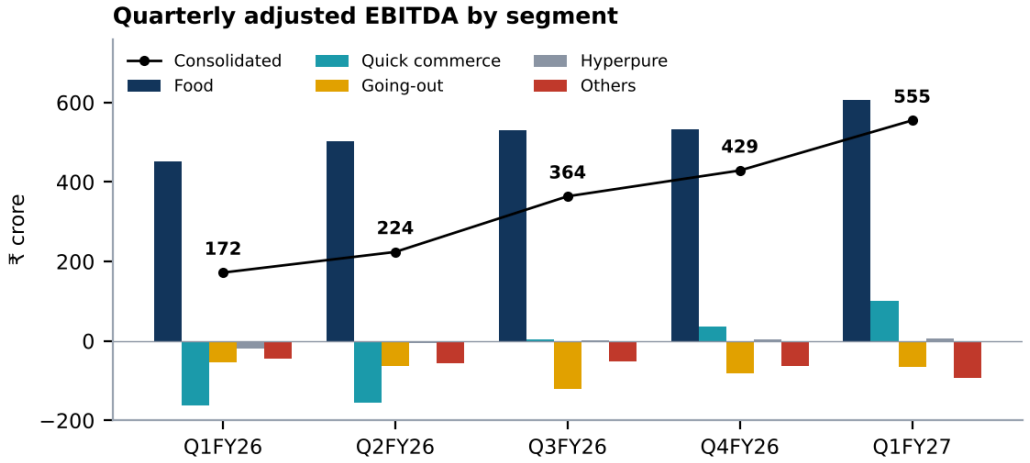


Figure 22: quarterly adjusted EBITDA by segment. Source: SL27 p9-11.

Five quarters show a clear pattern. B2C NOV rose every quarter, from ₹20,183 cr to ₹31,120 cr (+54% over the period). Adjusted EBITDA rose from ₹172 cr to ₹555 cr, led by Blinkit (from -₹162 cr to +₹102 cr) while food delivery added ₹155 cr (₹451 cr to ₹606 cr). Two lines moved the other way: District's loss widened from -₹54 cr to -₹121 cr in Q3 FY26 before easing to -₹65 cr, and the Others segment loss rose from -₹45 cr to -₹94 cr. Net profit did not follow adjusted EBITDA: PAT was ₹25 cr in Q1 FY26 and ₹92 cr in Q1 FY27 because depreciation, finance cost, ESOP and tax grew alongside.

Quarter	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
Adjusted EBITDA % of B2C NOV	0.9%	1.0%	1.4%	1.6%	1.8%
ESOP % of B2C NOV	1.04%	0.75%	0.88%	0.77%	0.82%
D&A + finance cost − rent, % of NOV	1.13%	1.18%	1.22%	1.25%	1.29%
Other income, ₹ cr	354	352	348	342	375
PAT, ₹ cr	25	65	102	174	92

Table 32: the lines between adjusted EBITDA and profit as a share of NOV (our calculation from SL27 p9-11). This relationship underlies the illustrative EPS in Section 11.4.

8. What management said on five earnings calls, and how it held up

We read the transcripts of the Q1 FY26 (21-Jul-25), Q2 FY26 (16-Oct-25), Q3 FY26, Q4 FY26 (28-Apr-26) and Q1 FY27 (22-Jul-26) calls. The calls start straight into questions; each follows a shareholders' letter. The table below tracks guidance from call to call and compares it with the numbers that were later reported. It is the single most useful test of how much weight to give management's long-run targets.

Topic	What management said	Source	What happened
Inventory model (Blinkit)	Q1 FY26: move most of the business to inventory ownership within two to three quarters	Q1FY26 p4	Done: the 1P model applied from Q2 FY26; Mar-26 inventories ₹2,181 cr [SL27 p18]
Store count	Q2 FY26: about 2,100 stores by Dec-25 and 3,000 by Mar-27; Q4 FY26: "firmly on track" for 3,000 by March 2027	Q2FY26 p9; Q4FY26 p3	2,027 at Dec-25 (slightly below 2,100), 2,243 at Mar-26 and 2,443 at Jun-26 [SL27 Annexure A]. About 557 more are needed in three quarters; the recent pace of ~200 a quarter makes it plausible
Quick-commerce growth	Q2 FY26: YoY NOV growth to stay above 100% for the next one or two years. Q4 FY26: 100% "will not" hold for FY27 (analyst's 70-80% accepted, not guided)	Q2FY26 p9; Q4FY26 p3	FY26 NOV +117% (₹22,371 cr to ₹48,568 cr); Q1 FY27 +86% YoY. The 100% claim was withdrawn once competition intensified
Blinkit break-even	Q3 FY26: Blinkit adjusted EBITDA break-even	Q3FY26	Delivered: ₹4 cr in Q3 FY26, ₹37 cr in Q4, ₹102 cr in Q1 FY27 [SL27 p9-10]
Food delivery growth	Q2 FY26: FY26 growth about 15%, unlikely 20%	Q2FY26	FY26 NOV +15.6%; Q1 FY27 over +20% [SL27 p4]
3-year Blinkit target	Q4 FY26: Blinkit NOV CAGR of 60% over three years	Q4FY26 p3; SL27 p5	Not yet testable. Our base case is a 53% CAGR to FY29E; our bull case is about 60%
Blinkit margin	Q4 FY26: an analyst's implied 3-3.5% margin in 3-4 years was "broadly" fine; Q1 FY27: long-term adjusted EBITDA raised to about 6% of NOV (EBIT 4% including ESOP and depreciation)	Q4FY26 p2; Q1FY27 p9; SL27 p6	Q1 FY27 margin 0.6%; EBIT margin currently negative [Q1FY27 p15]. Raising the long-run target to 6% is a forecast, not a result
Working capital	Q3 FY26: expect NWC above the earlier 18 days; Q1 FY27: 14 days now, 12 days steady state	Q3FY26 p5; SL27 p5-6	14 days at Jun-26 (₹2,545 cr)
Competition	Q4 FY26: competitors have pulled back on marketing; Q1 FY27: Q1 was the peak so far	Q4FY26 p2; Q1FY27 p3	Statements moved in opposite directions within two quarters; we treat competition as the main swing factor

Table 15: guidance tracker. Sources as cited; reported numbers from SL27 and the calls.

Scorecard. Where management gave a near-term operating target (store count, inventory transition, Blinkit break-even, food growth) it has broadly delivered or is on track. Where it gave a growth number in an uncertain environment (more than 100% growth), it withdrew it within two quarters. Where it gave long-run margin and return targets, the numbers have only moved up (ROCE-relevant capex per store rose from ₹1 cr to ₹2.5 cr, NOV per store from ₹7 lakh to ₹11 lakh, NWC fell from 18 to 12 days, long-run margin rose to about 6%). Those long-run numbers are therefore best read as targets that depend on competition easing, not as observed economics. We use them in our base case anyway, because we want the conclusion to survive the most favourable reasonable reading of management's own framework.

Q&A themes worth knowing for an interview

- **Why the move to inventory ownership?** Management calls it a deliberate choice that makes the business "more durable in the long term"; the cost is working capital (₹2,545 cr) and inventory losses of about 1.8% of NOV, which are inside cost of goods sold [SL27 p5-6].
- **Is EBIT 4% before or after ESOP?** After. An analyst asked and Akshant Goyal confirmed that the 4% EBIT margin includes ESOP and depreciation; today EBIT margin is negative and there is no meaningful ROCE yet [Q1FY27 p9, p15].
- **Why is the tax charge up in Q1 FY27?** The parent's accumulated losses will be fully used in FY27, so provision is now made on business income; subsidiaries still carry their own losses [SL27 p12]. The Q1 operating cash flow was helped by a tax refund that management calls normal-course [Q1FY27 p11].
- **Does District matter for value?** It lost ₹65 cr in Q1 FY27 on ₹3,218 cr NOV; management expects the losses to be range-bound and guided to District EBITDA break-even over four to six quarters at the Q3 FY26 call, and to a $3 billion NOV target by FY30 [Q3FY26; SL27 p7].
- **What is Nugget?** An enterprise AI product in stealth mode; the Others-segment loss rose to ₹94 cr in Q1 FY27 mainly on manpower and R&D [Q1FY27; SL27 p7].
- **What is Bistro?** A kitchen-operations experiment aimed at food delivery at ₹50-150 price points; about 10 kitchens a quarter are being added [Q1FY27; SL27 p5].

9. Segment deep dives

9.1 Blinkit (quick commerce)

Blinkit is the largest source of growth and the largest source of uncertainty. Its NOV was ₹17,132 cr in Q1 FY27, up from ₹9,203 cr a year earlier (+86%), on 2,443 stores (1,544 a year ago) and 331.0 million orders in the quarter. Net average order value has been flat at about ₹520-550 and management does not expect it to grow [Q1FY27 p5]; growth therefore has to come from stores, customers and frequency.

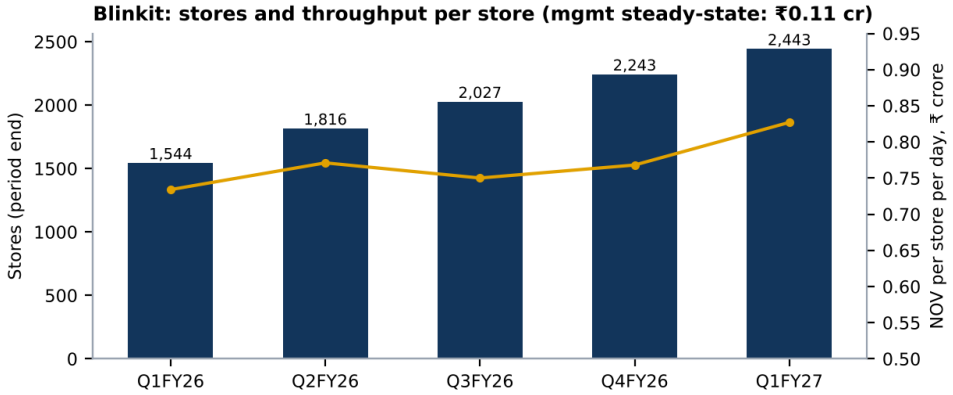


Figure 7: Blinkit stores and NOV per store per day. Source: SL27 Annexure A.

Throughput. NOV per store per day was ₹82.7 lakh in Q1 FY27, against ₹7.34 lakh in Q1 FY26 and a steady-state target of ₹11 lakh. The path from ₹8.3 lakh to ₹11 lakh is the single most important operating assumption in the ROCE framework; it needs larger stores, a wider assortment and denser demand, which is what management says it is investing in.

Unit economics. Gross profit has risen from 23.6% of NOV to 27.5%, while contribution (after delivery and store-level costs) has been steady at 5.3-5.5% for three quarters. The Q1 FY27 adjusted EBITDA margin of 0.6% therefore reflects fixed costs (central costs, marketing for new customers, technology) that are still large relative to contribution. Management says it is deliberately keeping marketing spending high because the cost of acquiring customers is low [Q4FY26 p2-3].

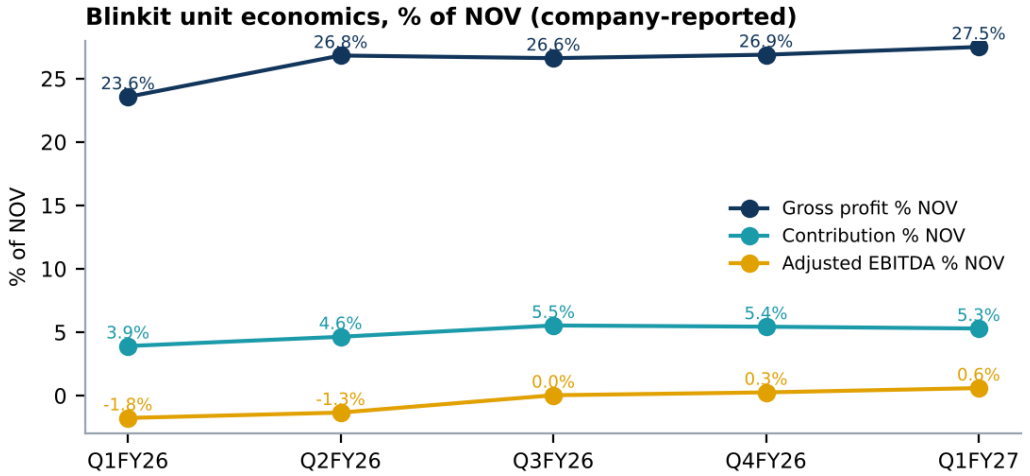


Figure 8: Blinkit gross profit, contribution and adjusted EBITDA as % of NOV. Source: SL27 Annexure A (our calculation).

Capital intensity. The letter says Blinkit operates about 19 million sq ft of store and warehouse space in 300+ cities, has invested about ₹3,000 cr of capex in four years, and will keep investing as long as a healthy ROCE is in sight [SL27 p5]. Its steady-state framework is: capex ₹2.5 cr per store (up from ₹1 cr), NWC 12 days (down from 18), NOV ₹11 lakh per store per day (up from ₹7 lakh) and EBIT margin 4%. The arithmetic: ₹2.5 cr capex over ₹40 cr of annual NOV per store is 6.3% of NOV; adding 3.3% for working capital gives 9.6% capital employed per rupee of NOV; a 4% EBIT margin gives a 41.7% pre-tax ROCE [SL27 p6].

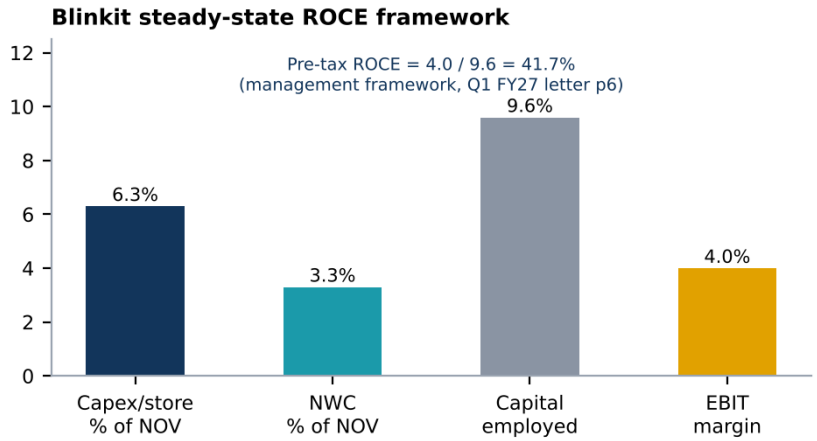


Figure 9: the ROCE framework as management states it. Source: SL27 p6.

Our assessment. The framework is internally consistent, and we use it. Three caveats: the capex figure is not yet observed (management says the 6-9 month average capex per store is below ₹2.5 cr, and capex is "lumpy" [Q1FY27]); the ROCE is stated before tax; and it is a steady-state number for a mature store, while the group's FY26 capital employed included a large amount of stores that have not yet matured.

9.2 Food delivery (Zomato)

Food delivery is a mature, high-return business with accelerating growth. Q1 FY27 NOV was ₹10,769 cr (+20%+ YoY); adjusted EBITDA ₹606 cr, 5.6% of NOV; contribution ₹1,097 cr; and 27.2 million monthly transacting customers (22.9 a year earlier). Management said it will sunset the GOV disclosure from this quarter because NOV reflects performance more accurately [SL27 p4]. The adjusted EBITDA margin has risen steadily from -0.0% of NOV in FY23 to 4.6% in FY25 [AR25 p26] and about 5.3% in FY26 (₹2,017 cr on ₹37,993 cr).

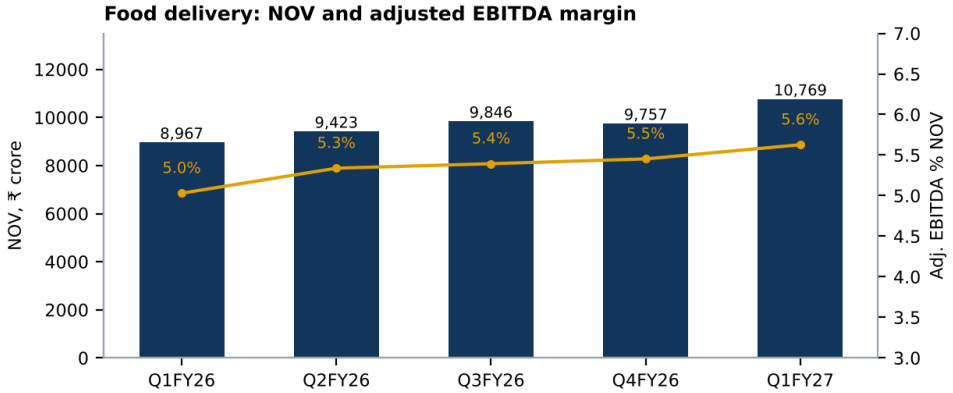


Figure 10: food delivery NOV and margin. Source: SL27 Annexure A (margin is our calculation).

The Q1 FY27 letter also notes a dip in restaurant count linked to the LPG situation [Q1FY27]. Management holds that growth and margin compound together and will trade margin for growth only if necessary [SL27 p4]. In our model food delivery earns 5.7% of NOV for the whole forecast, with growth fading from 20% to 6% by FY41E. A margin materially above 6% is the main upside we do not model.

9.3 Going-out (District)

District's NOV grew 60% YoY to ₹3,218 cr in Q1 FY27 and its adjusted EBITDA loss was ₹65 cr (-2.0% of NOV), versus -2.7% a year ago. In FY26 the segment lost ₹319 cr at the adjusted EBITDA level (₹38 cr in FY25) as it scaled the app and the ticketing acquisition [SL27 p4; AR25 p25]. In our base case District is near break-even in FY28E, positive from FY29E and reaches a 4% margin by FY32E; a $3 billion NOV target by FY30 is management's, and we do not adopt it explicitly.

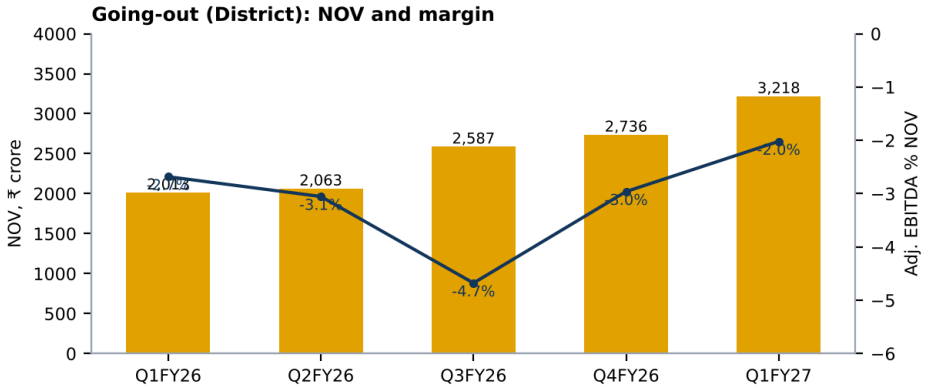


Figure 11: District NOV and margin. Source: SL27 Annexure A.

9.4 Hyperpure and Others

Hyperpure returned to profitability at the adjusted EBITDA level in Q3 FY26 and earned ₹6 cr in Q1 FY27 on ₹1,034 cr revenue (0.6%). It is small in value terms. The Others segment (Bistro, Nugget, community initiatives) lost ₹94 cr in Q1 FY27 and ₹215 cr in FY26 [SL27 p4, p8-10]. We assume losses of ₹420 cr in FY27E and FY28E, fading to zero by FY33E, which is a conservative assumption for a segment that management describes as "the cost of experimentation" [SL27 p7].

10. Quality of earnings and capital allocation

10.1 From adjusted EBITDA to net profit

Adjusted EBITDA is the best measure of operating progress, but it is not profit. The next chart walks Q1 FY27 from adjusted EBITDA of ₹555 cr to profit after tax of ₹92 cr.

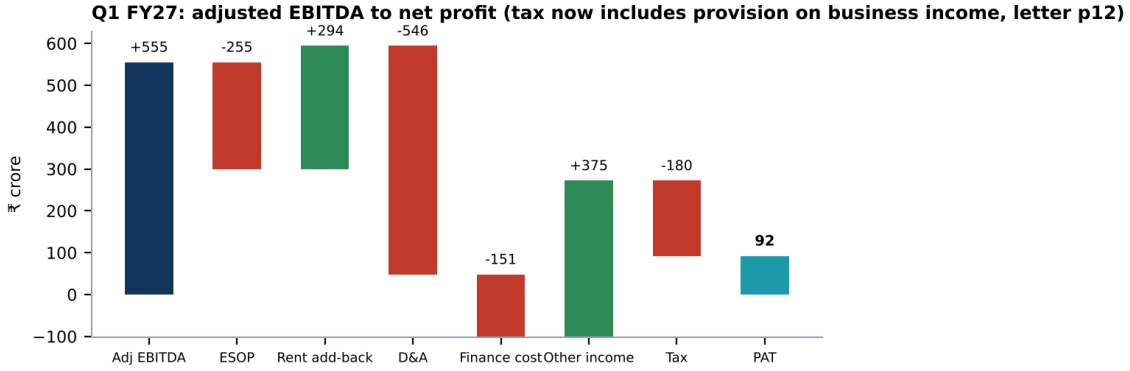


Figure 12: Q1 FY27 bridge. Source: SL27 p9-12 and p25.

Between adjusted EBITDA and profit sit share-based pay (₹255 cr), depreciation (₹546 cr), finance cost (₹151 cr; largely lease interest), tax (₹180 cr), offset by rent that adjusted EBITDA has already deducted (₹294 cr added back) and other income (₹375 cr). Other income was larger than profit before tax in both Q1 FY27 and FY26. If treasury income falls as cash is spent on stores and inventory, reported profit will fall unless operating profit grows faster.

10.2 Share-based compensation

Share-based payment expense was ₹506 cr in FY23, ₹515 cr in FY24, ₹798 cr in FY25 and ₹819 cr in FY26, and ₹255 cr in Q1 FY27 (about ₹1,020 cr annualised) [AR24 p169; AR25 p186; SL27 p17, p9]. It is an economic cost, paid in shares rather than cash, and the cumulative dilution is visible in the 37.6 cr outstanding options (about 4% of shares). We deduct ESOP in the model.

10.3 Capital use

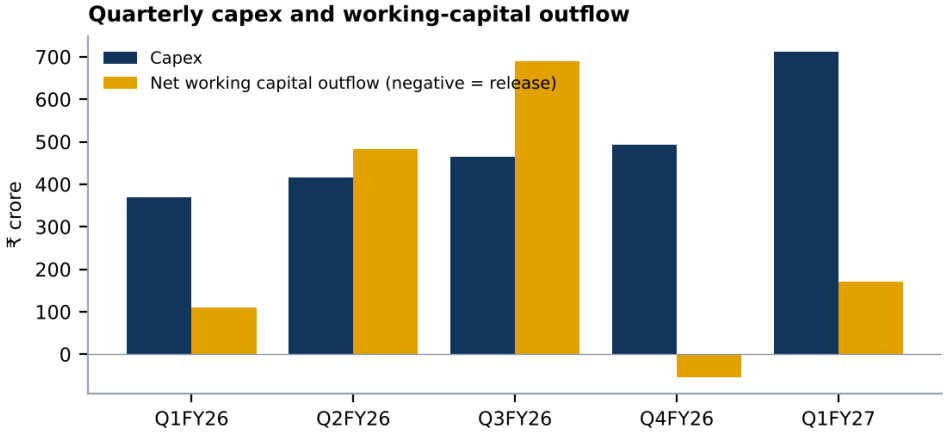


Figure 13: quarterly capex and working-capital outflow. Source: SL27 p9-11.

Quarterly capex rose from ₹370 cr in Q1 FY26 to ₹711 cr in Q1 FY27. The four quarters of FY26 sum to ₹1,746 cr, close to the ₹1,751 cr of capex in the FY26 cash-flow statement, and the five quarters to Q1 FY27 total ₹2,457 cr [SL27 p9-11, p19]. Treasury income and working capital have partly offset operating cash flow. Management points out that quick commerce is "not asset-light" and says it will keep investing while ROCE is in sight [SL27 p5]. We build the same logic into the model: capex is driven by store additions at ₹2.5 cr per store and working capital by days of NOV.

Cash is a large part of value but a small part of the price. Cash of ₹17,972 cr is about ₹19 per share, or 6% of the reference price. The business does not need to raise equity in any of our scenarios, but in the base case free cash flow is negative until FY29E (cumulative about ₹6,013 cr over FY27E-FY29E), so cash declines before it rises.

10A. Call-by-call digest (supplement to Section 8)

For readers who want to trace the guidance trail, here is what each call contributed. Page numbers refer to the "Page x of y" footers of the transcripts. Where a point comes from the accompanying letter we say so.

Q1 FY26 call (21 July 2025)

- **Inventory ownership.** Asked whether most inventory would move to 1P within two to three quarters and whether the margin benefit would follow in that period, Akshant Goyal said broadly yes on both counts [p4].
- **Store potential.** Management confirmed 3,000 stores as a number it would "eventually" get to, with an update to come after 2,000 [p4].
- **Market size.** Asked when industry growth might taper, management said growth rates would stay high for at least two years while infrastructure is built, and beyond that "it's very hard for us to comment on how large this market could be", because it depends on depth in small categories and sustainability of their economics [p5]. This matters for valuation: the company itself does not give a market-size ceiling, so any fifteen-year growth path is an assumption.
- **Competition.** Management said it would "respond to what the market is" and that maintaining leadership matters; it declined to comment on competitors' business models [p3-4].
- **Category mix.** Growth was described as "secular" across categories; the category split is not disclosed [p3].
- **Food delivery.** MTC growth was described as in sync with NOV growth; no strategy changes under new leadership to highlight [p3]. On possible effects of new weight-loss drugs, management said it was too early to have a view [p3-4].

Q2 FY26 call (16 October 2025)

- Quick-commerce NOV growth was expected to remain above 100% YoY for the next one or two years; stores of about 2,100 by December 2025 and 3,000 by March 2027 [p9].
- Food delivery growth for FY26 was expected near 15%, unlikely to reach 20% (our notes of the call); marketing in quick commerce was up about four times YoY; inventory at about 90% in steady state; 70-75% of new stores in the top ten cities.
- This call followed the Q2 FY26 shift to the 1P model, so reported revenue became incomparable with earlier periods; the call is where the NOV and like-for-like measures became the focus.

Q3 FY26 call

- Blinkit reached adjusted EBITDA break-even (₹4 cr) in Q3 FY26; an analyst probed the gross margin in the same quarter [p2].
- Net working capital was expected to stay near or above the earlier 18 days; management said ROCE depends on the margin the business model can deliver and that it had no playbook for how much NWC buys what ROCE [p5-6].
- Albinder Singh Dhindsa was referred to as Group CEO; ESOP pool "north of 20 cr shares" plus 3.3 cr unvested options of the CEO were mentioned; District losses were expected to reach break-even in four to six quarters; new labour codes were said to have no long-term margin impact; a GST rate change on baskets was discussed.

Q4 FY26 call (28 April 2026)

- The 100% growth guidance "will not" hold for FY27; the company moved to a three-year guidance of 60% NOV CAGR for Blinkit, built on assortment, geographic expansion and demand densification [p3].
- An analyst's arithmetic implying a 3-3.5% Blinkit margin in three to four years, consistent with a group EBITDA reference of $1 billion by FY29, was called "broadly" right, with no specific guidance [p2].
- Marketing: competitors had pulled back, customer acquisition cost was low, and the company chose to keep spending [p2-3]. Store target of 3,000 by March 2027 "firmly on track" [p3].
- Food delivery: no plan to copy Swiggy's Toing; the company is "watching the space" [p5]. Competitive activity "hasn't meaningfully changed" since the prior call [p6].

Q1 FY27 call (22 July 2026)

- Long-run Blinkit adjusted EBITDA raised to about 6% of NOV; the 4% EBIT margin includes ESOP and depreciation; EBIT margin is negative today and ROCE not yet meaningful [p9, p15].
- Q1 was the peak of competitive intensity so far; competition is mostly subsidies on products and delivery fees, mostly in grocery and top-tier cities; Blinkit price-matches where needed and has so far defended its position [p3, p9, p11].
- Net AOV is not expected to grow; lower product prices from price-matching can also depress it [p5].
- Capex is lumpy; six-to-nine month average capex per store is below ₹2.5 cr. Cash flow from operations was helped by a tax refund (excess advance tax) described as normal course [p11].
- Nugget (enterprise AI, stealth) drives the rise in Others losses; Bistro adds about ten kitchens a quarter; the restaurant count dipped on the LPG situation (letter and call).

What we take from the five calls

Management is consistent on direction (grow Blinkit fast, protect food-delivery margin, invest in infrastructure) and cautious about near-term numbers: it withdrew the 100% growth claim once competition intensified and has declined to give store guidance beyond March 2027 or market-size estimates. It has not given a margin or growth guide for any single year. That candour is a positive for credibility and a reason to treat long-dated targets as aspirations when valuing the business.

10B. Report-by-report digest

Zomato Annual Report FY24

- Revenue from operations ₹12,114 cr (+71%); first profitable year at group level with profit after tax of ₹351 cr (FY23: loss of ₹971 cr) [AR24 p38-39].
- Adjusted EBITDA turned positive at ₹372 cr from -₹783 cr [AR24 p42; AR25 p25].
- Food delivery revenue +40% to ₹6,361 cr; platform fee introduced in Q2 FY24; quick-commerce take rate up to 18.5%; Hyperpure revenue more than doubled to ₹3,172 cr [AR24 p39].
- Blinkit network scaled to 526 stores at Mar-24 from 377; headcount 8,244 [AR24 p40].
- Going-out was reported as a separate segment from Q2 FY24 [AR24 p39].

Eternal Annual Report FY25

- Revenue ₹20,243 cr (+67%); profit after tax ₹527 cr; adjusted EBITDA ₹1,079 cr; consolidated EBITDA ₹637 cr [AR25 p41, p48].
- Quick-commerce revenue +126% to ₹5,206 cr; going-out +186% with the Paytm ticketing acquisition; Hyperpure +95% to ₹6,196 cr [AR25 p48].
- Qualified institutional placement of ₹8,500 cr in November 2024; name change to Eternal; no dividend [AR25 p49, p267].
- Contingent liabilities include GST demands of ₹420 cr, the gig-worker petition and the CCI inquiry [AR25 p265-266].
- Standalone profit after tax was ₹1,960 cr against ₹527 cr consolidated; the two are on different perimeters and should not be compared directly [AR25 p47].

Q1 FY27 shareholders' letter (with audited FY26)

- FY26 revenue ₹54,364 cr; PBT ₹615 cr; profit after tax ₹366 cr; Q1 FY27 PAT ₹92 cr [SL27 p17, p25].
- B2C NOV ₹31,120 cr in Q1 FY27 (+54%); adjusted EBITDA ₹555 cr (+223%); like-for-like adjusted revenue growth of 66% [SL27 p4].
- Updated Blinkit steady-state framework and 41.7% pre-tax ROCE; cohort retention data; inventory losses 1.8% of NOV [SL27 p5-7].
- Cash ₹18,288 cr at Jun-26; goodwill unchanged at ₹5,737 cr; borrowings nil [SL27 p8, p18].
- GST orders and notices totalling ₹447 cr; labour-code and Karnataka gig-worker law disclosures [SL27 p27].

11. Forecasts: how we built them

Our model forecasts each business separately for fifteen years (FY27E to FY41E), converts adjusted EBITDA to free cash flow to the firm, and discounts it. Every forecast driver below is an analyst assumption, anchored on a document where one exists. The model is deliberately explicit so that you can see which assumption drives which result.

11.1 Structure

- **Blinkit:** NOV growth by year × adjusted EBITDA margin on NOV. Stores are NOV ÷ (365 × NOV per store per day); capex is net new average stores × ₹2.5 cr; working capital is days of NOV (14 days falling to 12).
- **Food delivery:** NOV growth fading from 20% (Q1 FY27 run-rate) to 6% by FY41E; adjusted EBITDA 5.7% of NOV (steady-state guide is 5-6%).
- **Going-out (District):** NOV growth fading from 42% to 5%; margin from -1.8% to near break-even in FY28E (-0.5%), positive from FY29E and 4% by FY32E.
- **Hyperpure:** revenue growth 12% a year, margin 0.7% rising to 1.0% of revenue.
- **Others (Bistro, Nugget etc.):** a loss of ₹420 cr in FY27E and FY28E, falling to zero by FY33E.
- **Below adjusted EBITDA:** ESOP plus non-lease depreciation equal to 2.0% of Blinkit NOV (management's 6% EBITDA-to-4% EBIT framework), 1.0% of food NOV and 1.5% of going-out NOV; tax at 25% of positive EBIT with no credit for carried-forward losses (a conservative choice with a small effect: Section 12).
- **Terminal value:** 5.0% perpetual growth on FY41E free cash flow, a rate we judge consistent with long-run nominal growth in an Indian rupee economy; this is an assumption, and we show 4% to 6%.

Base case driver	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
Blinkit NOV growth	72%	50%	40%	30%	24%	19%
Blinkit NOV (₹ cr)	83,537	125,305	175,428	228,056	282,789	336,519
Blinkit adj. EBITDA margin	1.20%	2.40%	3.25%	4.20%	5.00%	5.50%
NOV per store per day (₹ lakh)	8.7	9.2	9.7	10.2	10.6	11.0
Average stores	2,631	3,732	4,955	6,126	7,309	8,382
NWC days of NOV	14	13.5	13	12.5	12	12
Food NOV growth	20%	19%	18%	16%	14%	13%
Food NOV (₹ cr)	45,592	54,254	64,020	74,263	84,660	95,665
District NOV growth	42%	32%	27%	23%	19%	16%
District margin	-1.8%	-0.5%	1.0%	2.0%	3.0%	4.0%
Others loss (₹ cr)	-420	-420	-350	-250	-150	-50

Table 16: base-case operating assumptions (analyst assumptions). Starting points: FY26 NOV from SL27 p9-11; average FY26 stores derived from NOV and throughput.

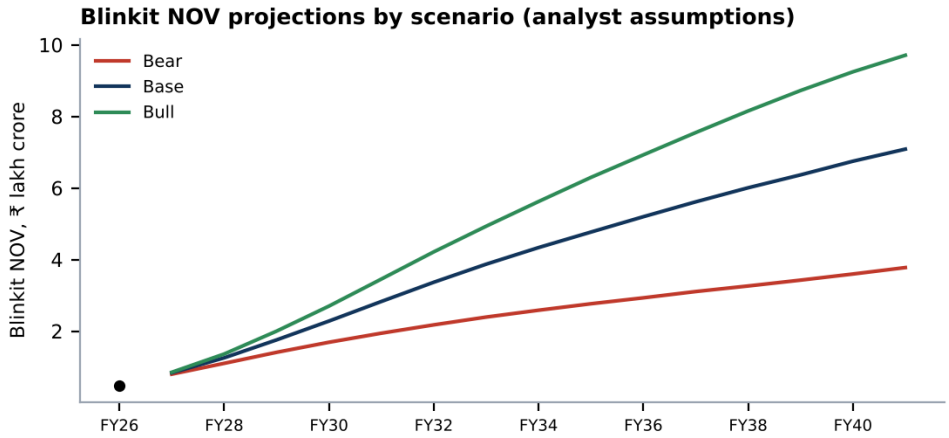


Figure 14: Blinkit NOV paths. Source: our model.

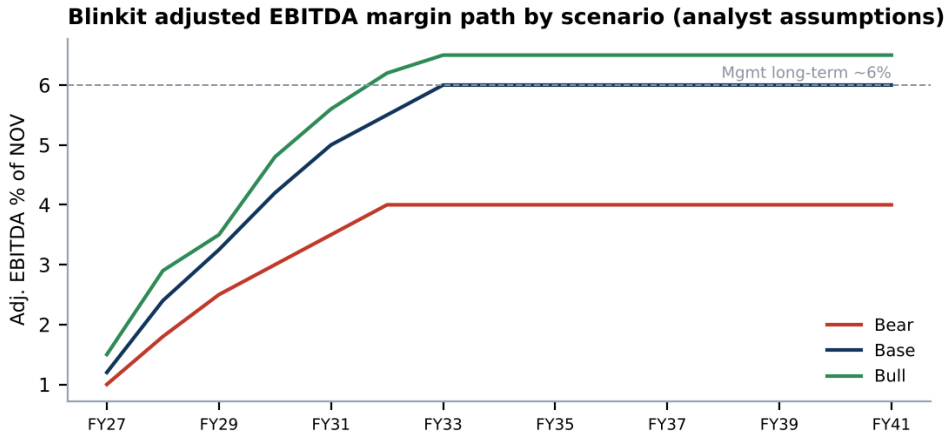


Figure 15: Blinkit margin paths against management's long-run ~6%. Source: our model; SL27 p6.

11.2 Why these numbers

- **FY27E Blinkit growth of 72%** sits inside the 70-80% range an analyst proposed and management accepted as consistent with 3,000 stores by March 2027 [Q4FY26 p3]. Q1 FY27 growth was 86%; our figure assumes some deceleration through the year.
- **Three-year growth.** Our base path compounds at 53% a year to FY29E, below management's 60%; the bull path is about 60%. We do not give base-case credit for a guided number that depends on competition easing.
- **Margin.** Base reaches management's 6% only in FY33E (5.5% in FY32E), and 3.25% in FY29E (the margin management called "broadly fine" for a 60% CAGR at 3-3.5% [Q4FY26 p2]). Bull reaches 5.6% in FY31E, 6.2% in FY32E and 6.5% long run; Bear stops at 4%.
- **Throughput.** Base moves from ₹8.3 lakh (Q1 FY27) to the ₹11 lakh target by FY32E; Bear stops at ₹10 lakh.
- **Food delivery.** We hold the margin at 5.7% of NOV, within the 5-6% steady-state range; bull 6.0%, bear 5.0%.

11.3 Consolidated estimates

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
Bear: B2C NOV (Blinkit+food+District)	136,792	176,455	216,485	253,913	288,409
Base: B2C NOV (Blinkit+food+District)	142,475	197,177	261,822	329,839	400,198
Bull: B2C NOV (Blinkit+food+District)	144,594	209,555	289,471	376,578	469,942
Bear: adjusted EBITDA (incl. Hyperpure, Others)	**2,351**	**3,911**	**5,960**	**8,139**	**10,487**
Base: adjusted EBITDA (incl. Hyperpure, Others)	2,983	5,646	9,292	14,196	19,892
Bull: adjusted EBITDA (incl. Hyperpure, Others)	3,444	6,942	11,087	18,364	26,110
Base: EBIT after ESOP and non-lease D&A	**656**	**2,333**	**4,808**	**8,480**	**12,898**
Base: capex	2,176	2,752	3,058	2,927	2,959
Base: increase in working capital	829	1,430	1,614	1,562	1,487
Base: free cash flow to firm	(2,513)	(2,433)	(1,066)	1,871	5,228

Table 17: analyst estimates by scenario. FY26 actual adjusted EBITDA was ₹1,189 cr and B2C NOV ₹95,959 cr [SL27 p9-11].

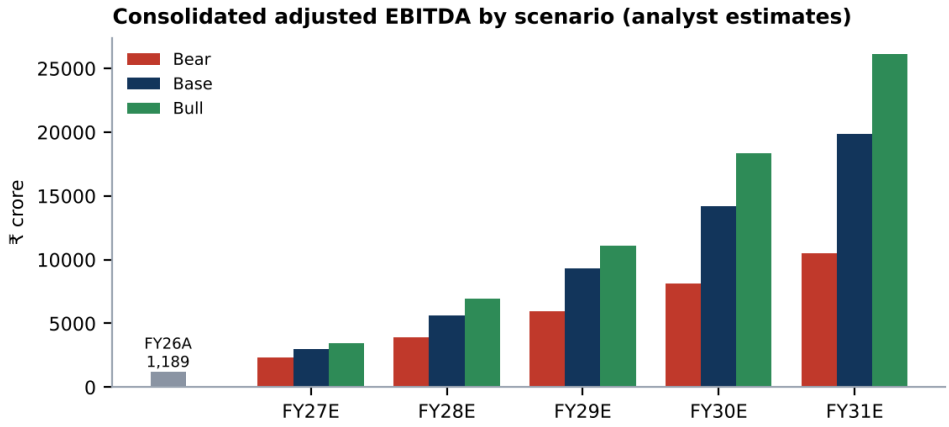


Figure 16: adjusted EBITDA by scenario. Source: our model.

Cross-check. Base FY27E adjusted EBITDA of ₹2,983 cr compares with ₹555 cr in Q1 FY27 (₹2,220 cr annualised), so the base case needs the remaining quarters to average about ₹809 cr, a gradual rise from Q1 rather than a jump. FY27E base B2C NOV of ₹142,475 cr compares with ₹31,120 cr in Q1 FY27 (₹124,480 cr annualised). Base-case growth in total NOV for FY27E is 48% (FY26: 55%).

11.4 Illustrative earnings per share

Base case, ₹ crore	FY27E	FY28E	FY29E
Adjusted EBITDA	2,983	5,646	9,292
Less: ESOP (0.85% of NOV)	(1,211)	(1,676)	(2,225)
Less: depreciation, finance cost net of rent add-back (1.25% of NOV)	(1,781)	(2,465)	(3,273)
Add: other income (7.5% of opening cash)	1,348	1,235	1,122
Profit before tax	**1,339**	**2,740**	**4,916**
Profit after tax (25% tax)	1,004	2,055	3,687
EPS on fully diluted shares (₹)	**1.06**	**2.17**	**3.90**
P/E at ₹325.30	306x	150x	83x

Table 18: illustrative statutory-style earnings, built from the Q1 FY27 and FY26 relationships between NOV and the lines below adjusted EBITDA (ESOP 0.85% of NOV; depreciation plus finance cost minus rent add-back about 1.25% of NOV; SL27 p9-11, p17). Other income yield of 7.5% on cash is an assumption (FY26: ₹1,396 cr on about ₹18,000 cr). These are not a company forecast.

Why the P/E is so high. Statutory earnings are small because profits are being reinvested into growth and because adjusted EBITDA excludes ESOP. On our base case EPS is about ₹1.1 in FY27E, ₹2.2 in FY28E and ₹3.9 in FY29E; the price is 83x FY29E earnings. A high multiple of near-term earnings is not by itself a reason to sell a business growing this fast, which is why we rely on a long-horizon cash-flow valuation rather than a multiple.

12. Valuation

12.1 Method and cost of equity

We value the group by discounting free cash flow to the firm. Because the company has no borrowings, enterprise value plus cash equals equity value, and we do not deduct lease liabilities because adjusted EBITDA is stated after rent. The cost of equity is built in rupee terms: the 7.36% 10-year government yield less a 1.87% sovereign default spread gives a rupee risk-free rate of 5.49%; we add beta × the 7.08% equity risk premium. With a beta of 1.00 (analyst judgement) the cost of equity is 12.57%. Sector evidence we looked at (Damodaran data) shows lower betas, so we test 0.8 to 1.3 below. Cash flows are discounted at mid-year from 1-Apr-26, then rolled forward 202 days to 19-Oct-26 at the cost of equity; a further year gives the 12-month value.

Base-case valuation (₹ crore unless stated)	Value
PV of FCFF, FY27E-FY41E	52,380
PV of terminal value	66,548
Enterprise value	**118,928**
Add: cash at 31-Mar-26 [SL27 p8]	17,972
Equity value (1-Apr-26)	136,900
Fully diluted shares (cr)	944.9
Value per share, 1-Apr-26 (₹)	145
Value per share today (19-Oct-26) (₹)	**155**
Value per share in 12 months (₹)	**174**
Terminal value as % of enterprise value	56%
Terminal value / FY41E adjusted EBITDA	6.5x
Terminal value / FY41E NOPAT	12.4x

Table 19: base-case DCF. Terminal value at 5% growth on FY41E FCFF. All forecast inputs are analyst assumptions.

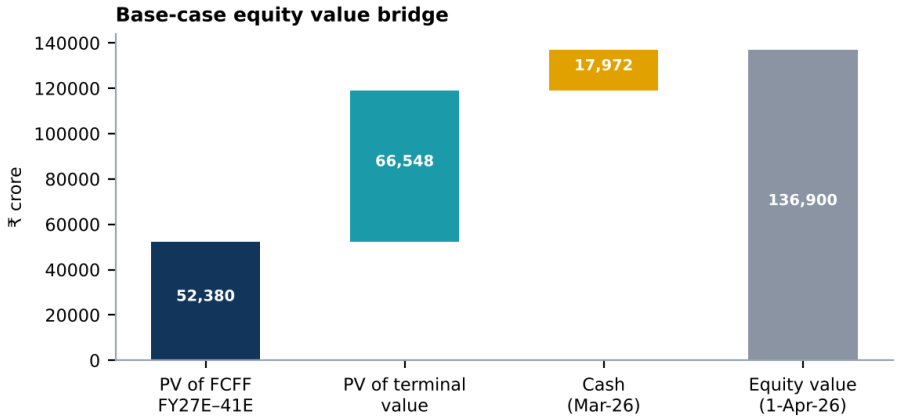


Figure 17: base-case equity value bridge. Source: our model.

Two features deserve comment. First, the terminal value is a modest 6.5x FY41E adjusted EBITDA, so we are not relying on a high exit multiple; the length of the explicit period (fifteen years) already gives credit for the long growth runway. Second, the FY41E base-case Blinkit NOV is about ₹7.1 lakh crore (about 17,647 average stores), which is more than fourteen times FY26 NOV. We have not constrained growth because of market size, since the documents give no market-size data; this is generous.

12.2 Scenarios

Scenario	Value today	Value in 12M	Enterprise value (₹ cr)	FY31E adj. EBITDA (₹ cr)	FY41E Blinkit NOV (₹ lakh cr)
Bear	₹58	₹66	33,611	10,487	3.8
Base	₹155	₹174	118,928	19,892	7.1
Bull	₹215	₹242	172,099	26,110	9.7
Probability-weighted (25/50/25)	**₹146**	**₹164**			

Table 20: scenario outcomes. Probability weights are our judgement and are not derived from data.

12.3 Sensitivities

Cost of equity \ terminal growth	4.0%	4.5%	5.0%	5.5%	6.0%
10.57%	₹201	₹211	₹222	₹236	₹252
11.57%	₹169	₹176	₹183	₹192	₹202
12.57%	**₹145**	**₹150**	**₹155**	**₹160**	**₹167**
13.57%	₹127	₹130	₹133	₹137	₹142
14.57%	₹112	₹114	₹117	₹120	₹123

Table 21: base value per share today. The cost of equity would have to fall to about 9.0% to equal the price, with terminal growth at 5%.

Blinkit margin path scale \ NOV growth shift (pts a year)	-10	-5	+0	+5	+10
60% of base (3.6% long-run)	₹80	₹82	₹79	₹67	₹34
80% of base (4.8% long-run)	₹94	₹106	₹117	₹129	₹136
100% of base (6.0% long-run)	**₹109**	**₹129**	**₹155**	**₹191**	**₹238**
110% of base (6.6% long-run)	₹116	₹141	₹174	₹222	₹289
120% of base (7.2% long-run)	₹124	₹152	₹193	₹253	₹340

Table 22: base value per share today when the Blinkit margin path is scaled and annual NOV growth is shifted for all fifteen years. At low margins, extra growth reduces value because each store consumes capital and working capital; value rises with growth only when margins are high enough to earn a return on that capital.

Beta	Cost of equity	Bear	Base	Bull
0.8	11.15%	₹71	₹198	₹277
0.9	11.86%	₹64	₹174	₹242
1.0	**12.57%**	**₹58**	**₹155**	**₹215**
1.1	13.28%	₹54	₹139	₹192
1.2	13.99%	₹50	₹126	₹173
1.3	14.69%	₹46	₹115	₹157

Table 23: value per share today by beta. Even at beta 0.8 (cost of equity 11.2%) only the bull case approaches ₹277 and the base case is ₹198, below the price.

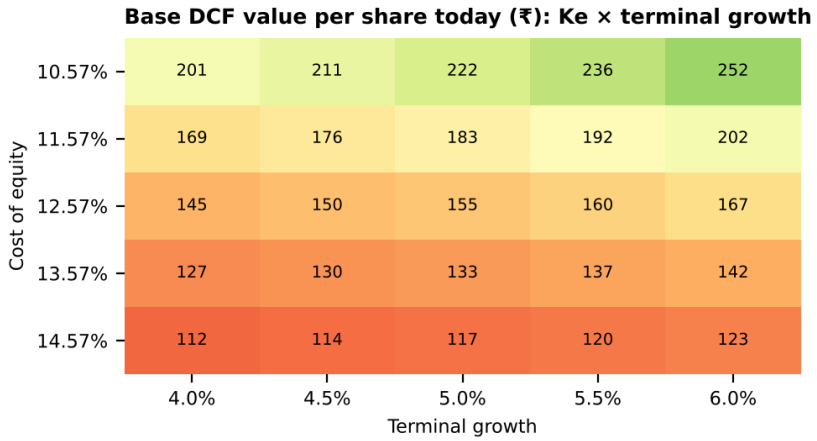


Figure 18: Ke × terminal growth heat map (base). Source: our model.

Two further tests. (1) Charges below adjusted EBITDA: if ESOP and non-lease depreciation were 0.5 point of NOV higher than our assumption for every segment, base value falls to ₹131; at 1.0 point higher it falls to ₹107. Our illustrative EPS table (Section 11.4) uses higher charges than the DCF does, so this test is relevant. (2) Tax losses: if the group's ₹5,643 cr of disclosed business losses shielded the first ₹5,643 cr of taxable profit, base value would rise only to ₹156, and to ₹159 with ₹20,000 cr of shield, because taxable profits are large only late in the forecast. Tax losses are therefore not a reason to doubt the conclusion.

12.4 Reverse DCF: what the price assumes

A reverse DCF asks what you would have to believe to pay ₹325. Holding the base-case margins, Blinkit NOV growth would have to be about 17 percentage points higher in every year for fifteen years, for example about 89% in FY27E, 67% in FY28E and 57% in FY29E, and still 29% in FY34E. Alternatively, holding growth, Blinkit's long-run margin would have to be about 11.4% of NOV (against management's 6% target). Alternatively, the cost of equity would have to be about 9.0%. Even the bull case needs about 8 extra points of growth a year.

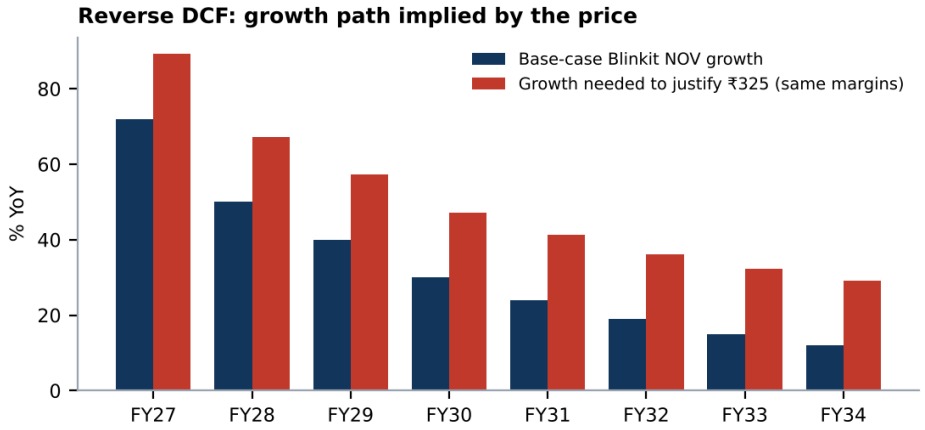


Figure 19: growth implied by the reference price versus our base case. Source: our model.

12.5 Cross-checks against the market and the Street

Check	Result	Comment
Market cap on diluted shares	₹307,369 cr	Cash is 6% of this
EV / FY26 adjusted EBITDA	243x	Adjusted EBITDA ₹1,189 cr
EV / FY27E base adjusted EBITDA	97x	₹2,983 cr
EV / FY29E base adjusted EBITDA	31x	₹9,292 cr
EV / FY26 B2C NOV	3.0x	₹95,959 cr
EV / Q1 FY27 annualised NOV	2.3x	₹31,120 cr × 4
Brokerage targets (Jul-26)	₹350 to ₹415	8-28% above the reference price; their cost of capital and long-run margins are not in our documents

Table 24: market cross-checks. Computed from the sources cited earlier; brokerage targets from public notes (Table 3).

We cannot see the Street's models, so we cannot say which assumption differs. Our reverse DCF indicates what such targets require: faster growth than our bull case, or a lower discount rate, or both. Reasonable people can disagree with our beta of 1.0 and our growth fade. What we can say is that, under management's own long-run economics, the price requires a very long period of above-trend growth.

12.6 Football field and conclusion

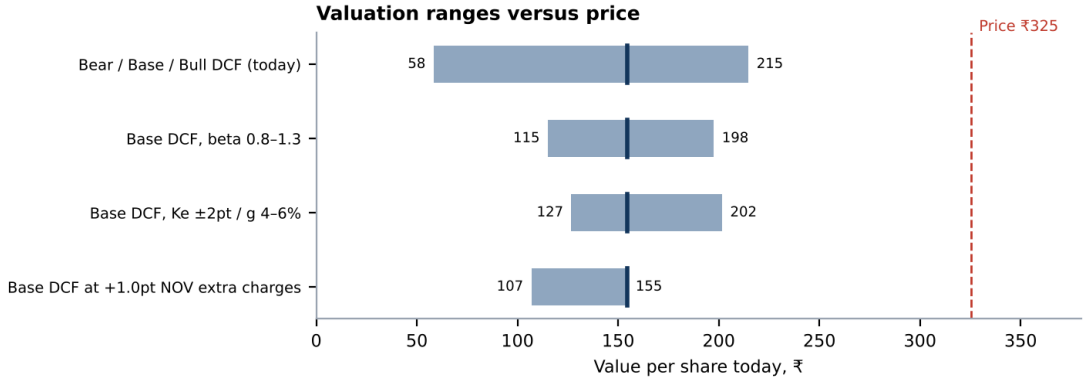


Figure 20: valuation ranges versus price. Source: our model.

12-month value ₹175 (SELL). We set the 12-month value at the base-case figure of ₹174, rounded to ₹175, which is 46% below the reference price. The probability-weighted value (₹164) tells the same story. We use the base case rather than the weighted figure for the rating because the weights are subjective. At our cost of equity, no scenario reaches the price, and no beta between 0.8 and 1.3 or terminal growth between 4% and 6% lifts the base case to it. The one corner of our sensitivity tables that exceeds the price is the bull case with a cost of equity two points lower (10.6%) and terminal

growth of 5.5% or more (Appendix I), which shows how much has to go right at once.

13. Risks, catalysts and what would change our mind

13.1 Risks to our SELL view (upside risks)

Risk	Why it matters	What we would see
Competition eases faster	Management says Q1 FY27 was the peak and that competitors' subsidy-led growth is unsustainable [Q1FY27 p3; SL27 p6]. If so, price matching fades and margins could reach 6% sooner	Blinkit adjusted EBITDA margin above 1.5% of NOV by Q3 FY27; retention cohorts holding above 50%
Management's 60% growth target is met	Bull case (about 60% three-year CAGR) is worth ₹215 today, still below the price; growth beyond that would be needed	Blinkit NOV growth above 70% for FY27 and above 55% in FY28
Food delivery margin beats 6%	Q1 FY27 margin was 5.6% of NOV and rising; each additional 1 point on ₹38,000 cr of NOV is about ₹380 cr of EBITDA	Food margin above 6.5% with growth still above 20%
New businesses work	Bistro and Nugget are unquantified in our model beyond losses; District could exceed its $3 billion NOV target [SL27 p7]	District margin turning positive in FY28E; Bistro unit economics disclosed
Lower discount rate	At a cost of equity near 9%, our base case would justify the price. A fall in Indian yields or lower required returns would raise values everywhere	10-year G-sec below 6.5%
Capex per store comes in below ₹2.5 cr	Management says 6-9 month average capex per store is below ₹2.5 cr [Q1FY27]; lower capital intensity raises ROCE	Capex per added store disclosed below ₹2 cr

Table 25: what could prove the SELL wrong.

13.2 Risks the bull case may understate (downside risks)

Risk	Evidence in the documents
Quick-commerce competition persists	Q1 FY27 was the "peak of competitive intensity" on management's own words [Q1FY27 p3]; competitors subsidise products and delivery fees; Blinkit price-matches [Q1FY27 p11]. Net AOV is flat and management does not expect it to grow [Q1FY27 p5]
Capital intensity	Capex quarterly run-rate ₹711 cr; NWC ₹2,545 cr; 19 million sq ft of space; lease liabilities ₹4,592 cr [SL27 p5, p18]. Returns depend on stores reaching ₹11 lakh a day, up from ₹8.3 lakh
Labour regulation	Gig-worker writ petition pending [AR25 p265]; new labour codes and state gig-worker laws, with Karnataka's rules operational and being contested [SL27 p27]. Management reports no material impact so far
Tax and GST	₹447 cr of GST demands and notices on delivery charges, now paying GST on such charges from 22-Sep-25 [SL27 p27]; positive-tax regime begins as parent losses are used up [SL27 p12]
Competition law	CCI investigation ordered in FY22 remains pending [AR25 p266]
Quality of earnings	Other income (₹1,396 cr in FY26) exceeds profit before tax (₹615 cr); ESOP is ₹819 cr; adjusted EBITDA excludes both [SL27 p17]
Accounting and balance-sheet	Goodwill ₹5,737 cr; key audit matters on investment valuation, Blinkit goodwill and revenue recognition [AR25 p173-175]
Key-person and talent	Risk of leadership succession and talent retention named by the company [AR25 p54]; Group CEO transition referenced in the Q3 FY26 call
Technology and cyber	Company names cybersecurity and downtime as strategic risks [AR25 p54]
Information gap	FY26 annual report could not be read; related-party, ESOP and notes detail for FY26 are outside this analysis

Table 26: downside risks, each tied to a disclosure.

13.3 Catalysts and dates to watch

- **Quarterly results:** each quarter's Blinkit margin, throughput per store and retention (Q2 FY27 results are the next test of whether competitive intensity has peaked).
- **Store count:** progress to the 3,000-store goal for March 2027 (2,443 at Jun-26).
- **Capex per store and working capital days:** whether capex stays at or below ₹2.5 cr per store and NWC converges to 12 days from 14 [SL27 p5-6].
- **Legal and regulatory:** outcome of GST appeals, the gig-worker petition and the CCI investigation; operationalisation of state gig-worker rules [AR25 p265-266; SL27 p27].
- **Parent tax shield:** the letter says the parent's losses are fully used in FY27, so tax expense should keep rising unless subsidiaries' losses can be used [SL27 p12].
- **New initiatives:** disclosures on Bistro and Nugget; District path to break-even.

13.4 What would change our rating

The HOLD band starts when the 12-month value is no more than 10% below the price, which today means about ₹293. Holding everything else at base-case values, any one of these would get there: (a) Blinkit NOV growth about 12 points a year higher for fifteen years; (b) a long-run Blinkit adjusted EBITDA margin of about 9.3% of NOV (against management's 6%); or (c) a cost of equity of about 9.8% (beta near 0.6). Reported results that sustain one of these would justify a re-rating. These thresholds are approximate and depend on our model. Put differently, our base-case 12-month value of ₹174 would sit inside the HOLD band at a share price of about ₹193 or lower, with no change in fundamentals. Our rating is a statement about price versus value, not a prediction of the next quarter.

14. Stakeholders, ESG and governance disclosures

The annual report describes programmes that matter for regulation and cost. We list them without scoring them, since the documents do not give comparable benchmarks.

- **Restaurant partners.** The company targets support for 300,000+ micro, small and medium restaurant businesses by 2030 and had listed 242,000 (80% of target) at Mar-25; average monthly active restaurant partners were 297,000 in FY25 and about 19,000 restaurants were delisted for quality and governance reasons [AR25 p37, p39].
- **Delivery partners.** The goal is to enhance earning and saving capacity of one million gig workers by 2030. Insurance payouts were over ₹70 cr in FY25 (₹164 cr cumulative), with 55% of claims for non-accident medical expenses; 3,000+ persons with disabilities have earned income delivering orders; about 4.5 million orders were delivered by female delivery partners in FY25 [AR25 p37-39]. Average monthly active delivery partners were 473,000 in FY25 [AR25 p26].
- **Workforce.** 50% of the board and 29% of the permanent workforce are women or other diverse groups at Mar-25; the share of women in warehouses rose to 22% from 8% [AR25 p38-39].
- **Information security.** The company upgraded to ISO 27001:2022 certification and says it is aligning processes with the DPDP Act, 2023 [AR25 p39].
- **Whistle-blower.** 109 reportable matters were investigated and closed in FY25 [AR25 p53].

Why this matters for valuation. Delivery-partner costs sit in delivery and related charges (₹5,728 cr in FY25, ₹9,065 cr in FY26). Any regulation that raises the cost per delivery, such as social-security contributions under the new labour codes or state gig-worker laws, would show up here. Management says no material impact has appeared so far [SL27 p27]. We do not model a cost step-up in the base case; it is a risk that supports our bear case.

15. Three futures: the stories behind the scenarios

Bear case: a long fight

Competition stays intense, so Blinkit has to keep price-matching and spending on customer acquisition. NOV growth fades from 64% to 15% by FY31E, throughput per store plateaus at ₹10 lakh and the long-run adjusted EBITDA margin settles at 4%. Food delivery earns 5.0% of NOV, working capital stays at 13 days of NOV. In this world the business is still large, with FY31E adjusted EBITDA of ₹10,487 cr, but returns on the heavy capital base are far lower than management's 41.7% framework. Value today ₹58; this is also the case in which regulatory cost increases would hurt most.

Base case: the plan works, slowly

Blinkit grows 72% in FY27E, fading to 24% by FY31E and 5% by FY41E. The margin reaches 3.25% in FY29E and management's 6% in FY33E, throughput reaches ₹11 lakh in FY32E, and working capital falls to 12 days. Food delivery holds a 5.7% margin. District turns positive from FY29E. Consolidated adjusted EBITDA reaches ₹9,292 cr in FY29E and ₹19,892 cr in FY31E. Value today ₹155; in twelve months ₹174.

Bull case: management delivers early

Blinkit compounds at about 60% for three years (75%, 60%, 47%), margin reaches 5.6% in FY31E and 6.5% long run, food delivery earns 6.0% of NOV and District 5% long run. Consolidated adjusted EBITDA reaches ₹11,087 cr in FY29E and ₹26,110 cr in FY31E. Value today ₹215; in twelve months ₹242. Even here the value is 26% below the reference price, because a business can grow very fast and still be worth less than a price that assumes it grows faster for longer.

Driver	Bear	Base	Bull
Blinkit NOV growth FY27E / FY29E / FY31E	64% / 28% / 15%	72% / 40% / 24%	75% / 47% / 28%
Blinkit long-run margin	4.0%	6.0%	6.5%
NOV per store per day, long run (₹ lakh)	10	11	11
Working capital days (FY27E → long run)	14 → 13	14 → 12	14 → 12
Food delivery margin	5.0%	5.7%	6.0%
District long-run margin	2.5%	4.0%	5.0%
Value per share today	**₹58**	**₹155**	**₹215**
Value per share in 12 months	₹66	₹174	₹242

Table 33: scenario drivers and outcomes (analyst assumptions).

Appendix A. Base-case model, year by year

Base, ₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E
Blinkit NOV	83,537	125,305	175,428	228,056	282,789	336,519	386,997	433,437
Food delivery NOV	45,592	54,254	64,020	74,263	84,660	95,665	107,145	118,931
District NOV	13,347	17,617	22,374	27,520	32,749	37,989	42,928	47,650
B2C NOV	142,475	197,177	261,822	329,839	400,198	470,174	537,070	600,018
Blinkit adj. EBITDA	1,002	3,007	5,701	9,578	14,139	18,509	23,220	26,006
Food adj. EBITDA	2,599	3,092	3,649	4,233	4,826	5,453	6,107	6,779
District adj. EBITDA	(240)	(88)	224	550	982	1,520	1,717	1,906
Hyperpure adj. EBITDA	42	54	68	84	95	106	119	133
Others	(420)	(420)	(350)	(250)	(150)	(50)	0	0
Consolidated adj. EBITDA	**2,983**	**5,646**	**9,292**	**14,196**	**19,892**	**25,537**	**31,163**	**34,824**
EBIT after ESOP, D&A	656	2,333	4,808	8,480	12,898	17,280	21,708	24,251
Tax on EBIT	164	583	1,202	2,120	3,225	4,320	5,427	6,063
Capex	2,176	2,752	3,058	2,927	2,959	2,681	3,143	2,892
Increase in NWC	829	1,430	1,614	1,562	1,487	1,766	1,660	1,527
FCFF	**(2,513)**	**(2,433)**	**(1,066)**	**1,871**	**5,228**	**8,512**	**11,478**	**13,770**
Average Blinkit stores	2,631	3,732	4,955	6,126	7,309	8,382	9,639	10,795

Table 27: base-case projections (analyst assumptions).

Base, ₹ crore	FY35E	FY36E	FY37E	FY38E	FY39E	FY40E	FY41E
Blinkit NOV	476,781	519,691	561,266	600,555	636,588	674,783	708,522
Food delivery NOV	130,824	142,599	154,006	164,787	176,322	186,901	198,115
District NOV	52,415	57,132	61,702	66,022	69,983	74,182	77,891
B2C NOV	660,019	719,421	776,975	831,363	882,893	935,866	984,529
Blinkit adj. EBITDA	28,607	31,181	33,676	36,033	38,195	40,487	42,511
Food adj. EBITDA	7,457	8,128	8,778	9,393	10,050	10,653	11,293
District adj. EBITDA	2,097	2,285	2,468	2,641	2,799	2,967	3,116
Hyperpure adj. EBITDA	149	167	187	209	234	262	294
Others	0	0	0	0	0	0	0
Consolidated adj. EBITDA	**38,309**	**41,762**	**45,109**	**48,276**	**51,279**	**54,370**	**57,213**
EBIT after ESOP, D&A	26,679	29,085	31,418	33,627	35,734	37,892	39,893
Tax on EBIT	6,670	7,271	7,855	8,407	8,934	9,473	9,973
Capex	2,699	2,672	2,589	2,446	2,244	2,378	2,101
Increase in NWC	1,425	1,411	1,367	1,292	1,185	1,256	1,109
FCFF	**15,885**	**17,731**	**19,608**	**21,482**	**23,372**	**24,785**	**26,710**
Average Blinkit stores	11,875	12,944	13,979	14,958	15,855	16,807	17,647

Table 27: base-case projections (analyst assumptions).

Discounting (base)	Value
Cost of equity	12.57%
Risk-free rate (rupee)	5.49%
Equity risk premium	7.08%
Beta	1.00
Terminal growth	5.0%
Tax rate on positive EBIT	25%
Mid-year convention	Yes; base date 1-Apr-26
Roll-forward to 19-Oct-26	× (1+Ke)^(202/365)
Cash	₹17,972 cr (SL27 p8)
Diluted shares	944.9 cr

Table 28: model inputs.

Appendix B. Bull and bear projections

Bull, ₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E
Blinkit NOV	84,994	135,990	199,906	269,873	345,437	421,434	493,077
Food delivery NOV	45,972	55,166	65,647	76,807	88,329	100,694	112,778
District NOV	13,629	18,399	23,918	29,898	36,176	42,688	49,091
B2C NOV	144,594	209,555	289,471	376,578	469,942	564,816	654,946
Blinkit adj. EBITDA	1,275	3,944	6,997	12,954	19,344	26,129	32,050
Food adj. EBITDA	2,758	3,310	3,939	4,608	5,300	6,042	6,767
District adj. EBITDA	(218)	0	359	897	1,447	2,134	2,455
Hyperpure adj. EBITDA	49	69	93	105	119	134	151
Others	(420)	(380)	(300)	(200)	(100)	0	0
Consolidated adj. EBITDA	**3,444**	**6,942**	**11,087**	**18,364**	**26,110**	**34,439**	**41,423**
EBIT after ESOP, D&A	1,080	3,395	6,074	11,750	17,775	24,363	29,697
Tax on EBIT	270	849	1,518	2,938	4,444	6,091	7,424
Capex	2,215	3,189	3,619	3,692	4,394	4,732	4,461
Increase in NWC	885	1,583	2,003	2,026	2,484	2,499	2,355
FCFF	**(2,290)**	**(2,227)**	**(1,066)**	**3,095**	**6,453**	**11,042**	**15,456**
Average Blinkit stores	2,646	3,922	5,369	6,846	8,604	10,496	12,281

Table: bull-case projections for FY27E-FY33E (analyst assumptions). Bull value per share today ₹215; in 12 months ₹242.

Bear, ₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E
Blinkit NOV	79,652	109,919	140,696	168,836	194,161	217,460	239,206
Food delivery NOV	44,452	50,675	56,756	62,999	69,299	75,536	81,579
District NOV	12,689	15,861	19,033	22,078	24,948	27,693	30,185
B2C NOV	136,792	176,455	216,485	253,913	288,409	320,689	350,971
Blinkit adj. EBITDA	797	1,979	3,517	5,065	6,796	8,698	9,568
Food adj. EBITDA	2,223	2,534	2,838	3,150	3,465	3,777	4,079
District adj. EBITDA	(254)	(190)	(38)	177	374	692	755
Hyperpure adj. EBITDA	35	39	43	47	52	57	63
Others	(450)	(450)	(400)	(300)	(200)	(100)	(50)
Consolidated adj. EBITDA	**2,351**	**3,911**	**5,960**	**8,139**	**10,487**	**13,125**	**14,415**
EBIT after ESOP, D&A	123	968	2,293	3,801	5,536	7,605	8,362
Tax on EBIT	31	242	573	950	1,384	1,901	2,090
Capex	2,018	2,137	2,034	1,712	1,408	1,185	1,489
Increase in NWC	680	1,161	988	809	902	830	775
FCFF	**(2,606)**	**(2,572)**	**(1,302)**	**329**	**1,842**	**3,689**	**4,007**
Average Blinkit stores	2,567	3,422	4,236	4,921	5,484	5,958	6,554

Table: bear-case projections for FY27E-FY33E (analyst assumptions). Bear value per share today ₹58; in 12 months ₹66.

Appendix C. Quarterly data, Q1 FY26 to Q1 FY27

	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27
Food delivery NOV	8,967	9,423	9,846	9,757	10,769
Quick commerce NOV	9,203	11,679	13,300	14,386	17,132
Going-out NOV	2,013	2,063	2,587	2,736	3,218
B2C NOV	**20,183**	**23,164**	**25,732**	**26,880**	**31,120**
Adjusted revenue	7,563	13,968	16,692	17,680	20,648
Adjusted EBITDA	**172**	**224**	**364**	**429**	**555**
Food delivery	451	503	531	532	606
Quick commerce	(162)	(156)	4	37	102
Going-out	(54)	(63)	(121)	(81)	(65)
Hyperpure	(18)	(5)	1	5	6
Others	(45)	(55)	(51)	(64)	(94)
Profit after tax	25	65	102	174	92
Blinkit stores	1,544	1,816	2,027	2,243	2,443
Blinkit orders (million)	176.7	222.7	243.3	273.9	331.0
Blinkit NOV/day/store (₹000)	734	771	750	768	827
Blinkit monthly transacting customers (m)	16.9	20.8	23.6	27.2	31.8
Food monthly transacting customers (m)	22.9	24.1	24.9	25.4	27.2
Food contribution	885	976	1,023	998	1,097
Blinkit contribution	360	542	736	782	907
Capex	370	417	465	494	711
ESOP expense	210	174	227	208	255
Depreciation & amortisation	314	376	439	468	546
Finance cost	67	86	107	132	151
Other income	354	352	348	342	375
Cash balance	18,857	18,314	17,820	17,972	18,288

Table 29: quarterly data from SL27 p9-11 and Annexures. FY26 quarterly values sum to annual figures used elsewhere.

Appendix D. Evidence register

Every number in this report is traced to one of these locations or is a calculation from them. AR pages are PDF pages; the printed page is the PDF page minus three. SL27 pages are PDF page numbers of the letter file (the printed page number is one lower).

Data	Document	Page
FY23-FY25 adjusted revenue and adjusted EBITDA by segment	AR25	25
Food delivery and quick commerce financial and operating metrics FY23-FY25	AR25	26-27
Adjusted EBITDA reconciliation FY24-FY25	AR25	45
FY25 consolidated P&L, MD&A cost commentary	AR25	41-44, 186
FY25 balance sheet and cash flow	AR25	184-185, 192-193
Share capital, treasury shares and allotments	AR25	49, 188
ESOP plans and options outstanding	AR25	243-245
Business-loss and tax-loss schedule	AR25	261
Segment note FY25	AR25	262-263
Contingent liabilities (GST, gig workers, CCI)	AR25	265-266
QIP of ₹8,500 cr at ₹252.62	AR25	49, 267
Key audit matters	AR25	173-175
Risk management and strategic risks	AR25	53-56
Material subsidiaries; auditors	AR25	48, 56
FY23-FY24 P&L, balance sheet and cash flow	AR24	167-176
FY23-FY24 segment note	AR24	244-246
Q1 FY27 headline results, Q&A and ROCE framework	SL27	3-7
Quarterly financial and operating metrics Q1 FY26 to Q1 FY27	SL27	9-11
Adjusted EBITDA reconciliation and tax note	SL27	12
Audited FY26 P&L, balance sheet and cash flow	SL27	17-19
Q1 FY27 interim P&L	SL27	25
Segment note FY26 and GST and labour-code disclosures	SL27	26-27
Guidance: 3,000 stores, growth above 100%	Q2 FY26 call	9
Guidance: 3-year 60% CAGR; $1 bn reference; 3,000 stores on track	Q4 FY26 call	2-3, 6
Competitive intensity, price matching, tax refund, EBIT definition	Q1 FY27 call	3, 5, 9, 11, 15
Inventory transition and store potential	Q1 FY26 call	4
Working-capital and ROCE discussion	Q3 FY26 call	5-6

Table 30: evidence register.

Appendix E. Questions a recruiter might ask, and how to answer them

Q: Why SELL on a company that is growing this fast?

Because the question is price, not quality. Using management's own long-run economics and a generous growth path, our cash-flow value is about ₹155 today against a price of about ₹325. To justify the price, Blinkit would need roughly 17 points a year more growth than our base case for fifteen years.

Q: What are the weakest assumptions in your model?

The cost of equity (beta of 1.0 is a judgement) and the terminal growth of 5%. We test beta from 0.8 to 1.3 and growth from 4% to 6%, and no combination reaches the price in the base case (Tables 21 and 23); only the bull case with a cost of equity two points lower and terminal growth of 5.5%+ exceeds it (Appendix I).

Q: Where did you use management's numbers, and are they reliable?

We use management's steady-state Blinkit framework (₹2.5 cr capex per store, ₹11 lakh NOV per store per day, 12 days of NWC, 6% adjusted EBITDA) because it is the most favourable reasonable reading. Near-term targets have mostly been met; the long-run ones are targets, not observed economics (Table 15).

Q: What did you correct from your first report?

Lease liabilities were mislabelled as borrowings, the share count included ESOP-trust treasury shares, Q3 FY26 EBITDA was confused with food delivery EBITDA, and FY26 was estimated rather than taken from audited figures (Table 2).

Q: Why do you not use peer multiples?

Because the supplied documents contain no comparable-company data and we do not quote figures from memory. We used a cash-flow valuation, with market cross-checks only on Eternal's own numbers.

Q: What would make you change your view?

Sustained Blinkit growth above about 70% with margins moving towards 6% faster than we assume, evidence that competition is easing, or a much lower discount rate (Section 13).

Q: Is ESOP a real cost?

Yes. Adjusted EBITDA adds it back, so we deduct it in EBIT. It was ₹819 cr in FY26 and ₹255 cr in Q1 FY27.

Q: Why is revenue up four times in FY26?

Blinkit moved to an inventory model, so revenue now includes the full value of goods sold. B2C NOV grew 55%, which is the like-for-like measure.

Q: What could go wrong with the data?

The FY26 annual report could not be read, so FY26 related-party, ESOP and notes detail are missing. The price and market-rate inputs come from outside your documents and should be refreshed.

Appendix F. Glossary

Term	Meaning
NOV	Net order value: value of orders after discounts, before certain charges; the company's preferred volume measure [SL27 p3]
GOV	Gross order value, the earlier headline measure (discontinued for food delivery from Q1 FY27) [SL27 p4]
Adjusted revenue	Revenue from operations plus customer delivery charges and platform fees in food delivery that are not in reported revenue [SL27 p3]
Adjusted EBITDA	EBITDA plus share-based payment expense minus rent paid on Ind AS 116 leases [SL27 p3]
1P / 3P	Inventory-led (the company owns the goods) versus marketplace (sellers own the goods)
MTC / MTU	Monthly transacting customers / users
NAOV	Net average order value
NWC	Net working capital
FCFF	Free cash flow to the firm: after-tax operating profit minus capex and working-capital investment
Ke	Cost of equity
Reverse DCF	Solving for the assumptions needed to justify the current price
ESOP	Employee stock option plan
QIP	Qualified institutions placement, a type of equity raise
SCN	Show-cause notice
CCI	Competition Commission of India

Appendix G. Important information

This report was prepared with an AI assistant for educational and portfolio-exercise use by an articleship trainee. It is not investment advice and is not produced by a registered research analyst. Historical figures are quoted from company documents supplied by the reader and carry document and page references. Forecasts, scenarios, the cost of equity, the terminal growth rate, probability weights and the rating are analyst assumptions and judgements; they are not company guidance and may be wrong. Market inputs (price, yields, risk premia, brokerage targets) were obtained from public sources and should be refreshed before any decision. The Eternal FY26 annual report could not be read; this report will be updated if a readable copy is supplied. Past performance does not indicate future results; the investor bears the risk of loss.

Appendix H. Tie-out checks and revenue bridges

Before building the model we cross-checked the data book against the documents. All checks below tie, within rounding.

Check	Computed	Reported	Result
FY26 B2C NOV = food + quick commerce + going-out	95,960	95,959	Ties (rounding)
FY25 B2C NOV = sum of segments	61,851	61,852	Ties (rounding)
FY26 NOV: sum of four quarters, food	37,993	37,993	Ties
FY26 NOV: sum of four quarters, quick commerce	48,568	48,568	Ties
FY26 NOV: sum of four quarters, going-out	9,399	9,399	Ties
FY26 adjusted EBITDA: sum of four quarters	1,189	1,189	Ties
FY26 adjusted EBITDA: sum of segments	1,189	1,189	Ties (rounding)
FY25 adjusted EBITDA: sum of segments	1,079	1,079	Ties
FY26 adjusted revenue: sum of segments	55,903	55,903	Ties
FY26 PAT: sum of four quarters	366	366	Ties
FY26 total expenses = lines shown	55,145	55,145	Ties
FY26 segment result = adj. EBITDA + rent paid on leases	2,027	2,027	Ties
Lease liabilities Mar-26 = non-current + current	4,592	4,592	Ties
Q1 FY27 PAT: adj. EBITDA − ESOP + rent + other income − D&A − finance − tax	92	92	Ties
Fully diluted shares (cr)	944.9	907.3 + 37.6 options	Ties

Table 34: tie-out checks. Quarterly items from SL27 p9-11; annual from the sources in Appendix D.

Statutory revenue to adjusted revenue

₹ crore	FY24	FY25
Revenue from operations	12,114	20,243
Add: customer delivery charges (food)	1,348	1,001
Add: platform fee not in revenue (food)	83	337
Adjusted revenue	**13,545**	**21,581**

Table 35: AR25 p45 (FY24 and FY25). FY26 adjusted revenue of ₹55,903 cr is the sum of four quarters [SL27 p9-11].

Segment adjusted revenue

Adjusted revenue (₹ cr)	FY23	FY24	FY25	FY26
Food delivery	6,147	7,792	9,418	11,698
Quick commerce	806	2,301	5,206	37,779
Going-out	171	258	737	973
Hyperpure	1,506	3,172	6,196	5,366
Others	63	22	24	87
Total	**8,693**	**13,545**	**21,581**	**55,903**

Table 36: AR25 p25 (FY23-FY25); SL27 p9-11 (FY26). FY26 quick commerce includes goods sold under the 1P model, so growth versus FY25 overstates underlying growth; B2C NOV grew 55%.

Like-for-like check. Q1 FY27 adjusted revenue grew 173% YoY, but like-for-like growth (after removing Hyperpure's non-restaurant revenue and the cost of goods sold in quick commerce own-inventory sales) was 66% [SL27 p4]. Readers comparing revenue across periods should use that figure or NOV.

Appendix I. Methodology notes and further sensitivities

How the discounting works

Free cash flow to the firm in each year equals after-tax operating profit (EBIT after ESOP and non-lease depreciation, taxed at 25% when positive) minus capex and the increase in working capital. Capex is the increase in average Blinkit stores multiplied by ₹2.5 cr; the model does not include maintenance capex on existing stores separately because management's ₹2.5 cr per-store figure is stated as a steady-state, all-in number, and we do not have a basis in the documents to split it. Working capital is days of NOV. Cash flows are assumed to arrive mid-year. The terminal value uses FY41E free cash flow × (1 + g) ÷ (Ke − g), discounted from the middle of FY41E.

Equity value equals enterprise value plus cash of ₹17,972 cr; no debt is deducted because the company has no borrowings; lease obligations are not deducted because rent has already been charged in adjusted EBITDA. Value per share divides by fully diluted shares. The 1-April-2026 value is rolled to 19-Oct-2026 at the cost of equity because investors earn the required return as time passes, and a further year gives the 12-month value.

Known simplifications

- Treasury income is excluded from FCFF (cash is added at its balance-sheet value instead).
- Hyperpure and Others are modelled as a margin on revenue and a fixed loss respectively, without separate capital needs.
- The model uses one cost of equity for all segments. A mature food-delivery business arguably deserves a lower rate than a growth business; we do not split it, and the effect would favour value somewhat.
- Operating leases are handled through adjusted EBITDA, which deducts rent. If rents grow faster than NOV, margins in our paths would be too high.
- We do not model equity raises, buybacks, acquisitions or dividends. Cash stays on the balance sheet at the start of the valuation.
- The labour-code and gig-worker laws are not modelled as cost items because management reports no material impact so far [SL27 p27].

Bull and bear sensitivities

Bull: Ke \ g	4.0%	4.5%	5.0%	5.5%	6.0%
10.57%	₹282	₹296	₹312	₹332	₹356
11.57%	₹236	₹245	₹256	₹268	₹283
12.57%	**₹201**	**₹208**	**₹215**	**₹223**	**₹233**
13.57%	₹174	₹179	₹184	₹190	₹196
14.57%	₹153	₹156	₹160	₹164	₹169

Table: bull-case value per share today by cost of equity and terminal growth. The most favourable cell (cost of equity 10.57%, growth 6%) is the only region that exceeds the ₹325 reference price.

Bear: Ke \ g	4.0%	4.5%	5.0%	5.5%	6.0%
10.57%	₹72	₹75	₹79	₹83	₹88
11.57%	₹63	₹65	₹67	₹69	₹72
12.57%	**₹55**	**₹57**	**₹58**	**₹60**	**₹62**
13.57%	₹50	₹51	₹52	₹53	₹54
14.57%	₹45	₹46	₹47	₹48	₹49

Table: bear-case value per share today.

In the bull case with the lowest cost of equity (10.57%) and highest terminal growth (6%), value per share today is ₹356, above the reference price of ₹325. Only by combining management's targets, a cost of equity two points below ours and a high perpetual growth rate does the model exceed the price, which is the practical meaning of "the price asks a lot".

Data quality notes

- Transcript text was machine-converted from PDF; where a number was ambiguous we confirmed it against the letter.
- FY23 quick-commerce numbers in AR25 are unaudited MIS figures (full-year Blinkit) while consolidated FY23 figures include Blinkit only from 10-Aug-22; this is why FY23 segment figures should be read with care. FY23 segment sums can also differ from totals by about ₹1 cr because of rounding.
- The FY26 annual report PDF supplied was truncated and could not be repaired. We have not used any number that we could only have taken from it.